OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

APRIL 1972

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousands sq.km)	69
Agricultural area (average 1961-66) as per cent of total area	67

Population of major cities, with suburbs, 1966 census (thousands):	
Dublin, Co. Borough	650
Cork, Co. Borough	125
Dun Laoghaire, Co. Borough	85
Limerick, Co. Borough	58

THE PEOPLE

Population (April 1971)	2 971 000
No. of inhabitants per sq.km.	43
Increase in population:	
Annual average 1961-71	15 300
Natural increase in population:	
Annual average 1966-71	29 630

Emigration:	
Annual average 1966 71	12 184
Annual average per thousand of population	4.2
Labour force, total at work, April 1971	1 071 000
Employment in:	
Agriculture, forestry and fishing	282 000
Industry and construction	328 000
Other sectors	461 000

THE GOVERNMENT

Public current expenditure on goods and services, 1971 (as per cent of GNP)	14
General government current revenue 1969-70 (as per cent of GNP in 1969)	32
Public debt, 31st March 1970 (as per cent of central government current revenue 1969-70)	229

Composition of Parliament (March 1972):	seats
Fianna Fail	73
Fine Gael	51
Labour	17
Aontacht Eireann	1
Others	2

Last election: June, 1969

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP, 1970	35.4
Main exports, 1970 (per cent of total domestic exports):	
Meat and meat preparations	18
Live animals	14
Dairy products and eggs	6
Clothing	5
Textile manufactures	6
Machinery and electrical goods	5
Metal ores and scrap	5
Medicinal products	2
Main customers, 1970 (per cent of total):	
United Kingdom	66
European Economic Community	12
United States	10

Imports:	
Imports of goods and services as per cent of GNP, 1970	43.3
Main imports, 1970 (per cent of total):	
Machinery and electrical goods	20
Chemicals, including fertilizers	9
Textile manufactures	7
Petroleum and products	7
Main suppliers, 1970 (per cent of total):	
United Kingdom	54
European Economic Community	16
United States	7

THE CURRENCY

Monetary unit: Irish pound

Currency unit per US dollar: 0.384

NOTE An international comparison of certain basic and demographic statistics is given in an annex table.

OECD ECONOMIC SURVEYS

IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development (OECD) was set up under a Convention signed in Paris on 14th December, 1960, which provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Ireland
by the OECD Economic and Development Review Committee
took place on 21st March 1972.
The present Survey has been updated subsequently.

CONTENTS

Introduction **5**

I Recent economic developments **5**
The pattern of demand 5
Output and employment 7
Prices, incomes and costs 10
Foreign trade 11
Invisibles and the balance of payments 14

II Economic policies **15**
Inflation and stagnation 15
Monetary policy and developments 18

III Short-term prospects **19**

IV Medium-term issues **21**
Recent performance 22
The inflationary record 23
Industrial relations, prices and incomes 29
EEC entry 30

V Conclusions **32**

TABLES

TEXT:

1 Growth of GNP 6
2 Volume of production, numbers employed and productivity in major industrial groups 8
3 Prices, wages and costs 10
4 Merchandise exports and imports 13
5 Balance of Payments 14
6 Budget 1967/68-1971/72 16
7 Medium-term trends 22
8 Trends by sector, 1969-72 23
9 Earnings, costs and prices 24
10 Unit labour costs and export performance 25
11 Development of new industry 26
12 Domestic expenditure and imports 26
13 Public investment and output 27
14 Employment changes 28
15 Time lost in industrial disputes 20

STATISTICAL ANNEX:

A	Expenditure on gross national product	39
B	Production, employment and other economic indicators	40
C	Prices and wages	41
D	Money and banking	42
E	Foreign trade and payments	43

CHARTS

1	Unemployment and emigration	9
2	Fluctuations in exports and imports	12

INTRODUCTION

Following the relatively satisfactory performance of the 1960s, economic activity slowed sharply in 1970. Demand remained depressed in 1971 while overall production recovered moderately. Growing unemployment was aggravated over the course of the year by difficult conditions in the United Kingdom. While the National Wage Agreement improved conditions in the labour market and productivity developments were encouraging, inflationary pressures remained strong. Although the current account deficit remained substantial—invisible receipts, in particular, being affected by external political tensions—there was some underlying improvement and net capital inflows were more than double the current deficit. As a result, external reserves rose sharply to a record level.

At the turn of the year there was considerable economic slack and a high level of unemployment. While a continuing revival of growth is expected, the recovery of demand seems unlikely, in the absence of strong policy action, to be sufficient to enable the economy to enjoy a growth at or near potential. But rapid and forceful reflationary measures, if they are to achieve the desired results, must be preceded by action designed to bring cost/price developments under control. Recent experience with institutional arrangements, while not entirely satisfactory, may have paved the way for making more rapid progress in this area. Policy measures taken should also be designed with the needs of longer-term growth strategy in mind. Such a strategy will be necessary if problems of growth, employment, inflation and external balance are to be dealt with comprehensively and to promote the structural changes required to meet the challenge of EEC entry successfully.

Parts I and II of the present Survey review recent economic developments and policy measures, while Part III considers short-term prospects for the next year or so. Part IV looks at certain longer-term trends, and attempts to identify some of the principal structural problems and bottlenecks, particularly in the light of changing conditions likely to result from accession to the European Communities. The final Part draws the short-term outlook and longer-term problems together and considers their policy implications.

I RECENT ECONOMIC DEVELOPMENTS

The pattern of demand

Economic activity, as measured by total demand, seems to have revived modestly in 1971; real GNP is estimated to have increased some 3 per cent, as compared with a 1 to 2 per cent increase in 1970 (in 1967 - 69 the annual

average was 5¾ per cent). But a significant part of the growth merely represented a catching-up process after the losses due to the previous year's industrial disputes, affecting mainly the construction sector. Allowing for this, the underlying growth rate may not have been significantly above 2 per cent. The main stimulus was provided by public expenditure and by exports, sluggish private demand having served to weaken the economic climate. Reflationary measures to stimulate both investment and consumption were announced in October 1971, but it may take some time for the impact on domestic activity to become noticeable. Certain other features of last year's developments suggest that a solid and broadly based resumption of growth could come quickly but only if inflationary pressures continue to slacken; on this condition, the present buoyancy of exports together with the better prospects for international trade in 1972 would offer reason for guarded optimism about the future.

Table 1 **Growth of GNP**
Per cent volume changes from previous year

	1968	1969	1970	1971
Consumer's expenditure	8.5	4½	1½	2
Public current expenditure	6.7	8½	3¾	5½
Fixed capital formation	12.1	23¼	–1¼	5¾
Stockbuilding[1]	1.0	1½	1¼	¾
Total domestic demand	10.7	9	1	3
Exports	10.0	3½	6	5¾
Total final expenditure	10.5	7½	2¼	3½
Imports	17.1	13	3½	4½
Net factor income from abroad	17.9	–3½	–2	—
GNP	7.9	4¼	1½	2¾

1 As per cent of GNP.
Source: Review for 1970 and Outlook for 1971; Irish submission to the OECD.

In volume terms, consumer spending continued to grow comparatively slowly (Table 1). After a modest spurt in the first quarter, the seasonally adjusted value of retail sales showed little change over the following six months, but the removal of instalment credit restrictions in October seems to have given rise to some revival of trade in consumer durables. Taking prices into account, the volume of retail sales seems to have been declining after the first quarter. As in the previous year, the rise in consumer prices (9 per cent year on year in 1971) was among the fastest in Member countries. There is, however, evidence of a slow-down, which is expected to continue into 1972.

Public sector purchases were stepped up in 1971 to provide some substitute for weak private demand. The wage and salary cost of the public service lay behind the above-average growth of public current expenditure in both volume and price. Total gross fixed investment grew by about 6 per cent in 1971; the increase arose mainly from a higher level of building activity

and increased imports of aircraft. Available indicators of private investment, such as investment surveys and imports of producers' capital goods, suggest that private productive investment was contracting up to the Autumn. There may have been some upturn since then, and the October and later decisions to increase the public capital programme by 12 per cent (£ 25 million) is expected to bolster investment spending in the second half of the 1971/72 financial year[1]. The apparent recent upturn in private non-residential investment would seem to indicate a recovery of plant and machinery investment with a view to rationalisation and modernisation, rather than construction of industrial floorspace of which there is no shortage. Private residential construction was rather weak up to end-1971, but the strength of public housing seems to have been sufficient to offset the weakness in private housing.

Despite depressed tourist earnings and some other adverse factors in trade patterns, exports continued to expand and provided a substitute for weak domestic demand. But the weakness of domestic demand did not prevent imports from rising, though at a receding pace after the first quarter. The result was to reduce an already weak rate of growth of total final expenditure to a GNP growth rate of not more than 3 per cent.

Output and employment

Agricultural conditions were favourable and the rise in the volume of gross agricultural product in 1971 has been estimated at about 5 per cent. The year was a particularly good one for cattle producers, with exports of cattle and beef rising both in price and volume terms. It was somewhat less satisfactory for sheep and pig breeders although production nonetheless exceeded 1970 levels. Crop harvests were good, and the dairy output took up the slack of previous years by expanding some 4 per cent[2].

Manufacturing production picked up in the first half of 1971; by the second quarter, the volume of output was 6 per cent higher than a year earlier. But this rate of growth reflected post-strike effects; indications are that the advance was smaller in the second half-year so that the total annual increase would be about 3-4 per cent. Judging by the latest statistics, and ignoring strike recoveries in industries serving housebuilding, there were no dramatic shifts in the sectoral pattern of production. The food and drink industries improved steadily as did wood and furniture manufactures. Clothing and footwear production, on the other hand—as well as metal and engineering industries output—was curtailed by marketing and price difficulties. Outside

1 The financial year runs from 1st April to 31st March.

2 In this connection, it may be of interest to note the expected price and market effects of EEC entry on farm output. In stock farming, the largest increases are expected to occur in milk and dairying, and in beef production; while sheep and pig output is likely to contract in relative terms. In cereals, no large net effect is foreseen; but production shifts from wheat to barley and oats may take place. Current developments seem to anticipate these trends. The policy stance has been to promote beef cattle breeding through the Beef Cattle Incentive scheme, and to restrain the rate of growth in commercial milk production by means of a multi-tiered milk pricing system. In December 1971 the latter system was replaced by pricing arrangements modelled to ease adjustment to the EEC system.

Table 2 **Volume of Production, Numbers Employed and Productivity in Major Industrial Groups**
Percentage change from corresponding period a year earlier

	First three quarters of 1971		
	1 Production	2 Employment	3 Production per man (1/2)
Industrial Group:			
Food	3.5	–0.5	3.4
Drink and tobacco	5.2	–0.5	4.7
Textiles	4.5	–1.9	6.5
Clothing and footwear	–0.4	–3.7	4.3
Wood, furniture, etc.	10.6	–3.7	14.8
Paper and printing	0.1	–1.2	1.3
Chemicals and chemical products etc.	–0.5	–1.2	1.7
Clay, glass, cement, etc.	54.6[1]	24.1[1]	..[1]
Metal and engineering (incl. vehicles)	–6.4	–0.3	–6.1
Other manufacturing industries	11.3	6.7	4.3
Total Manufacturing industries	4.3	–0.2	4.5
Total Mining, quarrying and turf	6.6	0.9	5.6
Total Transportable goods industries	4.5	–0.1	4.6

1 Affected by cement dispute in 1970.

manufacturing industries proper, mining production continued to expand[1] although the expansion was restrained by adverse world market developments.

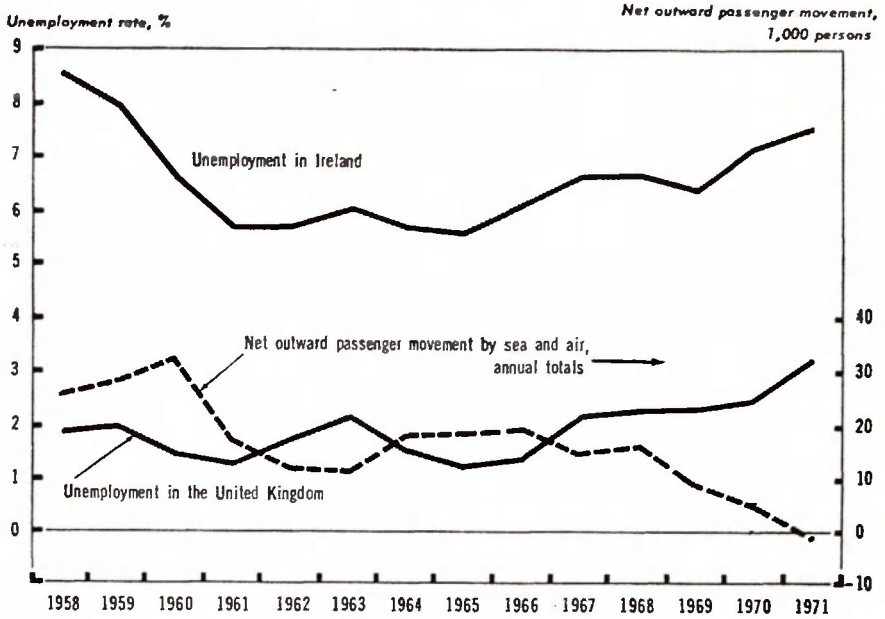
The increase in industrial production was brought about wholly by improved productivity; there was little change in the level of industrial employment. Table 2 illustrates that the adverse trend has been almost universal. Significant increases occurred only in the building materials and in the " other " industries group, the latter including many newly-established enterprises. Two different patterns can be observed in the decline of employment. The clothing, textiles and furniture groups experienced large drops, but in the case of textiles and furniture, this reflected an exceptional rise in productivity (column 3). The decline in the clothing group as well as in the metal and engineering group was brought about by adverse demand trends rather than by productivity increases.

This aggregate picture of little or no growth in industrial employment conceals major structural changes; while the creation of new jobs increased

1 Significant discoveries of base metal deposits (mainly lead, zinc, copper, barite, silver), most of the output of which is exported, have led to a strong expansion of mining production in recent years.

rapidly, the rate of redundancies also rose sharply[1]. By and large, the shake-out was a forced response to competitive pressures and a sluggish market. Productivity increases had been very poor in 1969 and 1970 (of the order of 1 to 2 per cent), while employment had increased. The result was the creation of a redundant labour which is now being released in the face of rapidly rising wages and salaries.

Diagram 1 **Unemployment and Emigration**



NOTE Net emigration in 1967 has been adjusted for special restrictions on inward travel.

Sources: Irish submission to the OECD; Department of Employment Gazette (London).

1 This is illustrated by figures quoted by the Industrial Development Authority (the State-sponsored body in charge of promoting investment in Ireland) indicating both the number of new jobs annually created in grant-aided new manufacturing industry and the rate of redundancies:

	No. of new jobs created	*Less:* Redundancies	*Equals:* Actual net job creation
1967-69 (annual average)	5 500	1 000	4 500
1970	5 350	1 800	3 550
1971	7 500/8 000	4 500/5 000	2 500/3 500
1972 (forecast)	8 000/8 500	4 000/4 500	abt. 4 000

Static industrial employment was not immediately reflected in unemployment figures because the labour force in the building and construction industry increased during the first half of 1971 and because pressures from the labour supply side had not yet built up. During the second half of the year, however, unemployment rose steadily, exceeding 8 per cent in December 1971/January 1972[1]. Domestic conditions were not solely responsible; domestic weakness was aggravated by rising unemployment in the United Kingdom, which normally provides an escape valve for excess labour in Ireland (comparing unemployment figures to emigration would suggest that about one-third of the rise in registered unemployment in the 12 months to December 1971 could be attributed to this external factor). Diagram 1 shows annual unemployment rates for Ireland and the United Kingdom (left-hand scale) and net outward passenger movements as a proxy for labour emigration (scale at right). Movements in unemployment rates follow largely the same pattern, with fluctuations in Ireland being slightly more pronounced; net emigration has reverse movements and recent high United Kingdom unemployment rates have reduced it drastically.

Prices, incomes and costs

Taking the year as a whole, inflation was rapid in 1971, with the consumer price index rising by 9 per cent (Table 3). Within the year, there was a slowdown in the rate of increase of this index (from a 10 per cent increase in the first quarter, over the corresponding quarter of 1970, to something like an 8½ per cent annual rate in the subsequent quarters). Agricultural prices, with their 7¾ per cent increase, benefited from export demand. Import prices increased by 6½ per cent, at about the same rate as in the previous year.

Table 3 Prices, Wages and Costs
Per cent changes from previous year

	1968	1969	1970	1971
Consumer prices	4.7	7.4	8.2	9.0
Agricultural prices	10.2	2.8	5.9	7.7
Manufacturing industry:				
Weekly earnings per man[1]	8.5	12.2	13.7	15½[2]
Unit wage costs[1]	2.1	10.4	11.8	10½[2]
Real earnings[1]	3.6	4.4	5.2	6[2]

1 Averages of quarterly percentage changes from the corresponding quarters a year earlier.
2 Preliminary estimates.
Sources: Irish submission to the OECD, Irish Statistical Bulletin.

1 The level of unemployment in Ireland is generally high. The 1960s average was 6.2 per cent, with a range of monthly (seasonally unadjusted) values between about 4½ and 8 per cent. This not only reflects a permanent state of underemployment as such, but it also indicates structural imbalances; sectoral, local and skill-related shortages existing side by side with high unemployment.

The inflationary pattern was heavily influenced by income developments. These were determined by the carry-over effects of previous generous settlements, and by the National Pay Agreement concluded in December 1970 covering the so-called 13th wage round which started in January 1971[1]. In the main, the agreement has been respected. Still, it is estimated that weekly earnings per man in manufacturing industry have, in fact, risen some 15 per cent from 1970 (with a further 1 per cent reduction in number of hours worked), as against a 13.7 per cent rise in 1970. The encouraging development of productivity referred to above prevented unit wage costs from rising correspondingly; but the increase in unit wage costs was nonetheless very high (of the order of 11 per cent in 1971 as compared to a 7 to 8 per cent range in the United Kingdom, Germany and France). Employee income in the entire non-agricultural sector probably rose by about 14 per cent and farmers' incomes slightly less (perhaps 12½ per cent), while profit increases were of the order of some 9 per cent. National income is estimated to have increased about 12½ per cent, about 9 per cent of which was accounted for by a rise in the GDP deflator.

Foreign trade

Export growth continued to be brisk in the first half of 1971, but performance in the balance of the year reflected the general slowing-down of world, trade with a temporary setback in the September quarter (Diagram 2). The time pattern of import growth was generally rather similar to that of exports, with quarterly rates of increase very high in most of 1970 and the early part of 1971. But import growth fell off sharply in subsequent quarters. As the level of merchandise imports is substantially higher than that of exports, the cumulative import excess remained considerable and was, in fact, slightly larger than in 1970. On the other hand, the size of the excess has fallen gradually since May, 1971.

Despite the second half slowdown, the volume of merchandise exports in 1971 maintained the momentum of the previous year and the Irish growth rate was higher than the OECD average[2]. The United Kingdom, despite its own slack demand, proved to be the most buoyant outlet for Irish exports (and inflation in the United Kingdom may have been a factor enabling the

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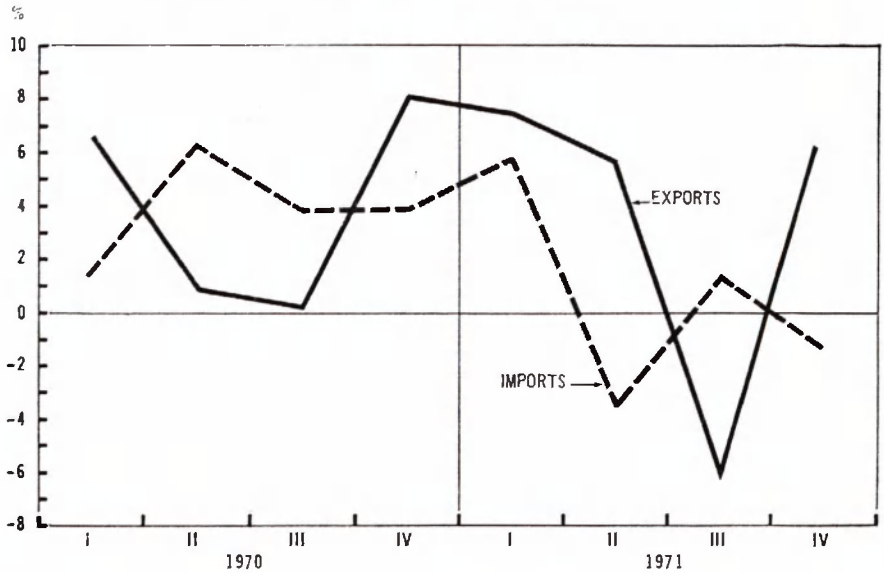
1 The national agreement granted a flat £ 2 weekly increase (about 10 per cent of average earnings in manufacturing industries) for men (85 per cent of this for women) for the first twelve-month period of the agreement. Over the following six months (in the earliest agreements, starting in January 1972), a 4 per cent increase—plus a cost-of-living bonus for every percentage point increase in the consumer price index over 4 per cent during the initial 12-month period (4½ percentage points in the circumstances)—was provided.

It has been customary in Ireland to conduct wage negotiations and make agreements in the framework of the so-called (mainly biennial) " Wage rounds ". These overlap in timing, as agreements belonging to the same round have different starting dates. Thus, the first agreements of the 13th round started in January 1971; but the last agreements of the same round come into force in the first half of 1972. It can be argued that such phasing of the agreements over time smooths out overly abrupt shifts in the national wage bill; on the other hand, the negotiating procedures become quite complicated with the wage rounds and standards of judgment overlapping each other.

2 Irish exports have so far been well able to maintain their share in world trade; on balance over the 1960's, and annually since 1969, Irish exports have been gaining rather than losing market shares. Irish export performance is studied in more detail in Part IV.

Diagram 2 **Fluctuations in Exports and Imports***
Per cent change from previous quarter, seasonally adjusted



* Excluding ships and aircraft.
Source: Central Bank of Ireland Quarterly Bulletin.

Irish to command higher export prices than would have been possible if she had been more dependent on other markets). In addition, supply shortages on the United Kingdom market helped sales of cattle and beef to soar at much higher prices, and Irish dairy products benefited from easier terms of access to the United Kingdom.

Exports to North America—reflecting particularly the trade of the Shannon Industrial Estate—rose only marginally, partly because of depressed conditions in the United States, partly because of the impact of the US import surcharge and perhaps somewhat because of the East Coast dock strike there. While economic recovery in the United States and Canada should reverse this trend, the reversal may well be moderated by the depreciation of both these currencies vis-à-vis the Irish pound. Exports to the EEC area fell because a sharp drop in sales of metal ores and concentrates and in food exports more than offset the expansion of exports of manufactured goods. As a result of the exceptional growth of agricultural exports to the United Kingdom last year, the past tendency for the growth rate of industrial exports to exceed that of agricultural exports was reversed. The principal items responsible for expansion of exports in manufactured goods included textiles, ships, rubber products, and professional and scientific equipment.

Table 4 **Merchandise Exports and Imports***
Annual per cent changes

	1969	1970	1971[1]	Share in 1971
Volume of exports	5	8	7	—
Export unit values	6	7	7	—
Value of exports	11	15½	15	100
of which to:				
UK	5	17	21	66
Other EFTA countries	51	69	15	2
EEC	36	15	–9	10
North America	15	8	3	13
Other	13	10½	26½	9
of which:				
Agricultural, etc., produce	6	11	23	42
Industrial products	15½	18	10	52
Unclassified + re-export	13½	23	8	6
Volume of imports	11	6	3½	
Import unit values	4	6	6	
Value of imports	15½	12	9½	100
of which from:				
UK	22	12	6	51
Other EFTA countries	58	16	17	6
EEC	14	17	16½	17
North America	–1	10	5	7
Other	½	7	15	19
of which:				
Finished capital goods	33	12	6	15
Finished consumption goods	16	14	13	23
Other[2]	12	11½	11	62
Terms of trade 1968 = 100	102	102	102½	

* Including trade between Shannon Free Airport and other countries.
1 Based on provisional figures.
2 Mainly goods for further processing by industry and imports to Shannon.
Source: Trade Statistics of Ireland.
NOTE Import figures exclude unusually high imports of aircraft and ships (£ 19.7 million in 1969, £ 11.1 million in 1970 and £ 24.7 million in 1971).

If imports of aircraft are excluded, both the volume and value rates of increase of imports slowed down in 1971[1], but the nature of the slowdown was not reassuring. The value of imports of capital goods and materials for further production—indicators of investment and industrial output, respectively—contracted in the two middle quarters of the year, while imports of finished consumption goods consistently increased. Preliminary data suggest that these trends were reversed somewhat in the final quarter of 1971. The share of the United Kingdom in Irish imports declined over the year, perhaps partly because of a deterioration of the United Kingdom's competitive position vis-à-vis other foreign suppliers of the Irish market. But in general, imports have gained ground as a result of the loss of price competitiveness

1 Including ships and aircraft, the growth rate of imports would be 11½ per cent, against 15 per cent for exports.

of Irish goods. In the three years 1969 to 1971, prices of imported goods, helped by tariff reductions under the Anglo-Irish Free Trade Area Agreement, increased at a 5 to 5½ per cent rate, while Irish consumer prices rose 27 per cent, or 8 per cent per annum. The latter contain a large element of food items, though, the prices of which are heavily influenced by external demand.

Invisibles and the balance of payments

Invisible earnings and net factor income, which account for more than a fourth of all export revenue, are estimated to have grown little in 1971. In

Table 5 **Balance of Payments**
OECD definitions, $ million

	1968	1969	1970	1971 ($)*	1971 (£)
Merchandise exports fob[1]	854	950	1 093	1 278	525
Merchandise imports fob[1]	1 124	1 336	1 475	1 670	686
of which: ships and aircraft	—	47	26	59	24
TRADE BALANCE	270	–386	–382	–392	–161
Travel	95	96	86		
Transportation[3]	–47	–58	–61		
Investment income	56	44	46	225	93
Other services	15	18	21		
Services net	119	100	92		
Transfers net	89	93	102		
CURRENT BALANCE	62	–193	–188	–165[2]	–68[2]
Long-term capital	50	76	82		
Private	45	47	52		
Official	5	29	30		
BASIC BALANCE	–12	–117	–106		
Short-term capital	118	264	99		
non-monetary[4]	–18	131	59		
monetary	136	133	40		
Allocation of SDRs	—	—	13	13	
NET RESERVES (+ = increase)	106	147	6	220**	90
Gold and currency assets	69	136	20	202	
Net position in IMF	37	10	–28	5	
SDR holdings	—	—	13	13	
Other assets and liabilities	—	1	1	—	—

* Conversion rate of £ 1 = $ 2 435 for current account.

** Change in reserves in 1971 is expressed in SDRs, the units of account which correspond to US dollars at an unchanged gold parity of $ 35 per ounce; expressed in actual dollars, which reflect the parity of $ 38 per ounce as agreed in December 1971, the change in net reserves would be larger, or $ 299 million. (See also the net reserve position in Table E of the Statistical Annex.)

1 Merchandise trade adjusted for balance of payments presentation. Imports have been reduced by 8 per cent representing the estimated cif-fob margin.

2 Preliminary estimate.

3 Transport payments include 8 per cent of imports as an approximation of the freight content of imports.

4 Including errors and omissions.

Sources: Irish submission to the OECD; IMF, International Financial Statistics.

real terms, there was a fall in tourist receipts probably largely a consequence of fears and uncertainties resulting from the serious disturbances in Northern Ireland. The trade deficit according to national estimates (exports fob, imports cif) grew by $ 19 million to $ 530 million (£ 218 m.), even though the value of imports (including ships and aircraft) grew by a slower rate than did exports. Excluding trade in ships and aircraft, however, the trade gap narrowed by $ 15 million (£ 6 m.). Deducting the estimated net invisibles gives a current deficit in 1971 of $ 165 million (£ 68 m.) (Table 5)[1].

The large current deficit was more than covered by net capital inflows which seem to have amounted to no less than $ 390 million (£ 160 million). Consequently, external reserves grew by a record annual amount of $ 227 million (£ 90 million). Among the identified capital inflows was borrowing of around $ 75 million by Government and State-sponsored bodies and another sum of the same order due to unwinding of the arrangements made to cover the period of the bank dispute. A substantial part of the remainder is understood to have entered the country for industrial development purposes or in connection with mergers and take-overs involving both Irish and foreign companies.

II ECONOMIC POLICIES

Inflation and stagnation

Concern over rapid price and wage rises, alongside slow growth of output, had led to some Government initiatives aiming at control over income developments already in 1969 and 1970; but it was the voluntary National Wage Agreement between the trade unions and employers signed in December 1970 (see footnote on p. 11), which finally determined to a large extent the likely course of wage developments over 1971 and into 1972. The Government was left with the task of maintaining conditions favouring observance of the agreement. As prices continued to be the primary concern of the Government, the budgetary strategy was mainly aimed at moderating the rise in government spending so that the Government itself would not contribute to inflationary pressures. Furthermore, the national agreement contained an indexation clause and this limited the choice of policy instruments, as it was advisable to avoid an increase in types of taxation which could give rise to new wage and salary claims, thus endangering implementation of the national agreement. Accordingly, current spending plans for the financial year 1971-72 were trimmed so as to hold down the rise in expenditures.

It was felt that the April 1971 budget would have to provide some encouragement to companies whose taxation had been raised in the previous October's supplementary budget[2]. Consequently, the right to free depreciation

1 This estimate includes errors and omissions; on the same basis, the deficit in 1970 would have been $ 157 million.

2 See OECD *Economic Survey of Ireland*, March 1971, footnote 1, p. 17.

Table 6 **Budget 1967/68-1971/72**
£ million

	1967-68	1968-69	1969-70	1970-71	1971-72 estimated outturn
A CURRENT BUDGET:					
Receipts:					
Direct taxes	88	101	116	143	174
Indirect taxes	171	194	235	271	297
Other	46	51	60	67	80
Total	305	346	411	481	551
Expenditures:					
Service of public debt	64	76	89	101	113
Social services	103	119	144	179	199
Economic services	75	84	98	110	125
General services etc.	65	72	81	100	114
Total	307	351	412	490	551
Deficit (—) or surplus (+)	–2	–5	–1	–9	0
B CAPITAL BUDGET:					
Sources of finance:					
Local authorities and state bodies	35	51	64	75	77
Exchequer	86	130	122	149	166
Total	121	181	186	223	243
Expenditures:					
Public capital programme:					
Building and construction, ports, etc.	44	52	59	64	70
Agriculture, forestry fisheries	21	23	25	27	37
Industry	13	19	28	34	50
Fuel and power	15	19	21	23	25
Transport and communications	17	26	38	38	32[1]
Tourism and miscellaneous	1	2	3	4	5
Total	111	141	174	190	219
Other[2]	10	40	12	33	24
Total capital expenditure	121	181	186	223	243
Memorandum item:					
Expenditure in relation to agriculture	69	77	89	96	109

1 Includes £ 6 million for payments on aircraft (£ 20 million in the previous year).
2 Includes the financing of current budget deficits.
Sources: Budget documents 1967-1971 and Irish submission to the OECD.

of machinery and plant, previously limited to development areas, was extended to the entire country in respect of expenditure incurred not later than March 1973, and additional investment incentives were granted in the designated development areas themselves. To close the budgetary gap, additional duties were imposed on alcoholic beverages, and certain personal income tax reliefs were withdrawn. Revenues were still expected to be generally rather buoyant on the strength of previous budget decisions.

By early Autumn, it had become apparent that the expected recovery of demand was not materialising, and that it was now time to give a further stimulus with a view to combating unemployment and redundancies. Wage developments seemed to be following the course to be expected from the national agreement; the import excess was large, but diminishing; and the level of external reserves was rising. In these circumstances, it seemed less important to maintain the restrictive posture of government finances in the hope of indirectly moderating price pressures than to give some further and rapid stimulus to the economy. Consequently the following measures were taken in October 1971:

— an extra £ 20 million (about 1 per cent of GNP) in capital outlays (subsequently raised by £ 5½ million) were approved for the financial year 1971-1972;
— the removal of remaining hire-purchase restrictions; and
— the reduction—over two years, starting in April 1972—of the maximum rate of company taxation from 58 to 50 per cent (the rate which had applied before the October 1970 increase).

It was estimated that the 1971-72 current budget would not be affected by these measures as the revenue impact of the reduction in company taxes would not be felt until the following financial year. The additional capital outlay—benefiting industrial development, modernisation of agriculture and to a lesser degree for a number of other purposes—was to be financed mainly by additional exchequer borrowing.

In October, it was also decided that a National Prices Commission consisting of representatives of employers, trade unions, commerce and housewives, and headed by an independent chairman, would be established. This step undoubtedly also facilitates discussion of incomes policy matters as it makes evident the fact that prices too are under surveillance. The task of the Commission is to keep under review the pricing of goods and services and to advise the Minister for Industry and Commerce in relation to such prices and charges. The Commission is, i.a., trying to establish criteria for determining the degree of competition in different sectors and market situations so as to be able to adjust its price surveillance procedures appropriately. Furthermore, the Commission has wide powers to study all factors of price determination from the cost side in order to bring out possibilities for improving efficiency[1]. Finally, it has indicated its intention to examine public sector prices as well. It is still too early to evaluate the impact that the Commission's operation will have on prices; but its approaches are at least imaginative and encouraging.

Ireland is continuing its efforts to develop multiannual programme budgeting for government finances and further progress has been made in 1971. Draft programme budgets have so far been prepared for two departments. In these budgets, expenditures are related to specific programmes and their

1 Having considered an application, the Commission may decide (*a*) to recommend that the proposed increase should be accepted, in which case it can normally be put into effect immediately; (*b*) to ask the applicant for further and more detailed information; (*c*) that the application should be submitted to detailed examination or an enquiry. Qualified consultants are employed to consider the cases under (*c*). The Commission publishes a monthly report on its recommendations and other activities.

components and are presented along with the objectives and outputs. In some cases, expenditure implications of the adoption of new policies are also explicitly indicated. The introduction of programme budgeting has already resulted in improved planning and management procedures in the departments, and it is intended to extend the programme so as to carry out analytical studies of various projects using techniques of cost-benefit and cost-effectiveness analysis. Six more departments are now developing programme budgets and it is intended that the system should be operational in all departments by 1976.

Monetary policy and developments

The slack credit demand and high degree of liquidity existing at the outset of 1971 were mainly reflections of the low level of economic activity and, to some extent, of the aftermath of the 1970 bank dispute[1]. Correspondingly, the credit advice of the Central Bank for the policy year ending in April 1972 placed less emphasis than previously on the restrictive aspects of the lending guidelines, particularly as the development of incomes had been largely determined by the National Wage Agreement. The credit advice indicated that domestic lending by the banking system as a whole could grow by some £ 115 million (or about a 12 per cent annual rate) and that banks would have to improve their position vis-à-vis the Central Bank by £ 15 million. As it was estimated that official borrowing would entail substantial capital import requirements, and to avoid the volatile elements in other capital flows, the banks were asked not to permit any change in their net external position, but to mobilise domestic savings instead.

Capital inflows and an accelerated growth in deposits led to a sizeable increase in the money supply in the seven months from April toNovember 1971. But the second main source of liquidity, domestic lending, turned out to be in no danger of exceeding the guidelines. In this same April to November period—during which the normal seasonal pattern would have led one to expect more than half of the 12-month lending increase to have taken place—lending grew by only £ 36 million. As £ 27 million of this was extended to the public sector, lending to the private sector expanded by no more than £ 9 million, about one per cent of the loans outstanding. With credit demand low, the banks had no difficulty in financing the public sector and augmenting their deposits with the Central Bank at the same time. Loans to all categories of private sector borrowers, save for the personal sector, contracted. Instalment credit, however, seems to have been picking up. A strong flow of funds into the building societies, whose competitive position has been strengthened

1 The bank dispute closed all the main commercial banks from May to mid-November 1970. But it affected the availability and quality of banking services over a longer period - first because of short-time working prior to the closure, second because of the huge backlog of work after the banks opened. In general, the lack of banking facilities did not seriously affect the functioning of the economy although unwanted liquidity shifts naturally occurred. But private credit arrangements were devised to substitute for bank credit, and cheques and British notes supplemented the stock of more normal means of payment. Several series of monetary statistics were unavailable during the dispute; those that were available as well as the first reappearing figures published after the opening of the banks were significantly affected by distortions in payments channels and their subsequent unwinding.

by the downward drift of other interest rates, continued; and there was a corresponding strong demand for housing loans.

In reviewing the instruments and the effectiveness of monetary policy, certain features unique to the Irish situation are worthy of consideration. The proximity and impact of the well-developed British money market, and the traditional, though no more formal, link to sterling, present both constraints and challenges to Irish policy-makers. Decisions about interest rates, for example, and formulation of the general stance of monetary posture must consider British circumstances as policies diverging too widely from those affecting the London money market may be self-defeating. On the other hand, this need to pay attention to the state of the London market as well as to domestic requirements may have provided some support for the efforts of the Irish Authorities to improve the functioning and the relative attractiveness of the domestic credit market. Steps taken so far include the building up of domestic money market facilities with a view to retaining in Dublin some banking funds which otherwise might be placed in London; streamlining the structure of lending rates; and, more recently, plans to supplement quantitative credit guidelines by liquidity ratios in order to provide an effective tool for monetary policy purposes and to extend the scope for competition between banks. Given that policy requirements in Ireland are often substantially different from the United Kingdom, efforts to diversify and deepen the Irish money and capital markets are welcome and, to the extent that they are successful, they will increase the possibilities for more effective use of monetary policy.

In this connection, the role of monetary policy might be examined in the more general perspective of overall growth strategies. In a period of slack demand, such as the present one, a monetary policy based on the use of guidelines tends to be passive in its impact because credit ceilings are likely to lose their relevance. It may be useful to recall that the pattern of central banking in Ireland, as in many other countries, is basically adopted from that of the United Kingdom where the monetary authorities attempt to maintain equilibrium conditions in a mature market economy. The authorities have recognised that this pattern and approach may not be appropriate under Irish conditions, and that a different approach to monetary policy might enable it to make a more active contribution to the optimal utilisation of resources.

III SHORT-TERM PROSPECTS

As usual, certain assumptions about world trade—in particular, about the demand and price situation in the United Kingdom, by far Ireland's main customer—serve as a starting point for assessing Irish prospects during 1972 and into 1973. Demand conditions in the United Kingdom are assumed likely to strengthen significantly and price pressures there to ease somewhat in the year or so ahead. The assessment of Irish prospects is also based on an assumption of " unchanged policies "—that is, no change in existing tax

rates and current budget expenditure trends in the coming financial year not significantly different than those in 1971/72. The forecast further assumes a faster rate of expansion of the public capital programme as compared with last year; and a monetary policy no more restrictive than in 1972.

Some uncertainty attaches to the forecast, of course, because these initial assumptions (particularly that of " unchanged policies ") may turn out to have been incorrect. But a much larger margin of uncertainty arises this year out of two special factors which could crucially affect the outcome. The first is inflationary developments in Ireland. It can be questioned whether the production sector is able to take still another year of substantial price rises and erosion of competitiveness without serious consequences. After three years of strong inflation—two of them with a very poor productivity performance—the economy may have arrived at a position in which marginal changes in relative prices could have a far-reaching impact on economic activity. As some consensus now seems to exist within the country about the urgency of abating inflation, it is assumed here that any new incomes arrangements—which will determine developments over the second half of 1972 and into 1973—will be less inflationary than the present Agreement; and that productivity and price surveillance procedures will continue to improve. Secondly, economic developments in the Republic in the year ahead could be seriously affected by the impact of further political disturbances in Northern Ireland. In this connection, it is assumed that the situation will deteriorate no further. If it does, the forecast may have to be revised downwards.

The volume growth of OECD trade is expected to accelerate during 1972 from the low point it reached in the second half of 1971. For Ireland, it is particularly encouraging that both UK and US imports are forecast to rise rather briskly; for this reason alone, the growth of Irish exports in real terms might accelerate to the 8 per cent range. With a further fall in invisible earnings predicted, the volume of exports of goods and services could grow at a rate of some 5 per cent in 1972. But much depends upon the behaviour of prices. With inflation likely to recede somewhat and the dollar devaluation increasing the competitive pressures from US exports on world markets, price competition is expected to become sharper during the year. The sharp rise in world trade prices, which characterised the whole of 1971 and is carrying over into the first half of 1972, may moderate substantially in the second half of the year. In this event, Irish prices of industrial goods will have to follow suit if Ireland is to retain its market shares.

Fixed investment will grow more slowly in 1972 than in the previous year; but this is entirely due to a drop in the purchases of aircraft. In fact, there are reasons for cautious optimism about the underlying trend. According to the Authorities concerned with promoting industrial expansion, the flow of projects for grant aid to new industry continues unabated. The most recent industrial survey indicates improving, though still far from buoyant, business expectations. Imports of producers' capital goods have also been recovering recently. In addition, if firms are to benefit from the extension of free depreciation possibilities granted by the 1971/72 budget, they will have to commence work on their investment projects shortly; and the October decision to reduce the rate of company taxation will improve corporate liqui-

dity in 1972 and 1973. As already noted, it has been assumed that the public capital programme will expand at a faster rate than in the previous fiscal year. Finally, the prospect of entering the EEC—though the main economic impact is still several years ahead—may affect investment plans and programmes at a considerably earlier date. For example, the agriculture-based industries must begin preparations now to be able to cope with the expected agricultural expansion. Similarly, production methods in such traditional industries as textiles, clothing and printing will have to be altered so as to be more capital intensive if they are to be competitive in the absence of protection.

These investment prospects must be appraised, however, against the present background of considerable excess capacity. Even though industrial production is expected to pick up, the revival is unlikely to reduce sufficiently quickly the margin of slack to warrant considerable investment in the expansion of productive capacity. Rather, any propensity to invest is likely to manifest itself largely in efforts to rationalise production (i.e. modernisation of machinery and equipment) and only to a small extent in investment to relieve production bottlenecks.

Consumption prospects will be largely determined by income developments. These may turn out to be quite similar to the 1971 outcome when the non-agricultural wage bill rose by 14 per cent. There is a carry-over effect from the National Pay Agreement which alone would account for a rise of some 7-8 per cent. Assuming some moderation in " new " wage and salary increases—with or without a new agreement—and no change in employment, incomes might rise by some 12 per cent. But as the rise in consumer prices is forecast to moderate by about 1 to 2 percentage points, assuming less price pressures from abroad, and intensified price surveillance and improved productivity at home, real consumer demand might rise by some 2 per cent or more.

On these assumptions, growth of total final expenditure in real terms may accelerate slightly from the previous year and amount to something like 4 per cent. But imports are likely to grow somewhat more than this so that real GNP might rise by some 3 per cent. As no significant changes are expected in import and export growth trends, the deficit on the current account of the balance of payments may be somewhat lower in 1972 than that recorded in 1971. But as imports of aircraft and ships are shrinking, the underlying deficit is likely to rise.

IV MEDIUM-TERM ISSUES

Last year's OECD report on Ireland[1] surveyed the problems of structural change in the transition to a modern economy operating at full employment and some of the policies which have been adopted by the Irish Authorities in pursuit of that goal. It concluded that these policies have met with a

1 OECD, *Economic survey of Ireland,* March 1971.

considerable measure of success and that it would be possible and desirable to further accelerate the Irish rate of growth by maintaining the accent on export-led industrial development. But it also drew attention to possible constraints on the development process, which fell mainly under the following headings:

(*i*) excessive rates of cost and price increase which, unless rapidly and markedly improved, could undermine the strategy of industrial development through balance-of-payments constraints;

(*ii*) fiscal policy operation and objectives which could perhaps make greater use of the public sector as a source of savings, and which could be improved so as to make fiscal policy a more sophisticated countercyclical tool[1];

(*iii*) regional and manpower policies insufficiently developed to meet the needs of more rapid industrial expansion.

Developments over the last year or so have somewhat modified the situation which gave rise to these conclusions but have nevertheless, served to underline some of the preoccupations. The purpose here is to examine the recent record (when growth has been slower than anticipated and desired) and look at some of the policy implications of past and impending institutional developments (notably the likelihood of EEC entry).

Recent performance

The third of Ireland's medium-term plans or " programmes " covered the years 1969-72[2]. On the basis of the estimated outturn for 1968-71 and the short-term forecast for 1972 discussed above, probable developments over the entire period can now be compared with anticipations at the time the Third Programme was prepared (Tables 7 and 8).

Table 7 **Medium-Term Trends**
Percentage changes, annual averages

	1949-58	1959-68	1969-72[1]	1969-72[2]
GNP, constant market prices	1¼	4¼	3	4
Employment	−1½	0	¼	½
Population	−½	¼	¾	1¼
Output per employee	2¾	4¼	2¾	3¾
Output per head	1¾	4	2¼	2¾

Sources: 1948-68 - Kieran A. Kennedy, *Productivity and industrial growth*, Oxford, 1971, page 3;
1969-72[1] - OECD Secretariat estimates;
1969-72[2] - Third Programme projections.

1 See also OECD, *Economic survey of Ireland*, February 1970, especially the Annexes on Ireland's experience and views in respect of the OECD report *Fiscal policy for a balanced economy*, published in 1968.

2 *Third Programme, Economic and Social Development 1969-72*, Dublin, 1969 (the programme was laid before Parliament in March 1969). For an outline of Ireland's medium-term planning goals and achievements see OECD, *Economic Survey* of *Ireland*, February 1970, Chapter 3, " Medium-term programming ".

Table 8 Trends by Sector, 1969-72
Percentage changes, annual averages

	1968 Weights		Estimated out-turn			Third Programme projections		
	Output	Employment	Output	Employment	Productivity	Output	Employment	Productivity
Agriculture	19	29	1¼	–3½	4¾	2	–3	5
Industry	34	29	4½	2½	2	6½	2½	4
Services	47	42	1¾	¾	1	3¼	1¼	2
Total	100	100	2½	¼	2¼	4¼	½	3¾

Sources: Third Programme projections; OECD Secretariat estimates.

Table 7 illustrates the disappointing nature of recent performance. The 3 per cent average annual growth rate of real GNP compares unfavourably with the 4 per cent Third Programme projections and even more so with the medium-term trend rate of the 4½/5 per cent suggested as a possible target rate in last year's OECD review and the growth needed to reach full employment in the 1980s which may be in excess of 5 per cent. The slower growth rate has retarded employment growth, and while overall productivity per employee has risen much as foreseen, the increase in population has led to a slower growth of output per head. Table 8 suggests that the shortfalls have largely resulted from slower-than-anticipated growth of employment and productivity, particularly in the industrial and services sectors.

Slippage in performance has not been entirely the result of domestic causes. Disturbances in Northern Ireland and the consequent political strains have had a severe impact on the tourist industry throughout Ireland. At constant prices, the drop between 1968 and 1972 in tourist expenditures in the Republic may amount to some 25 per cent—a dramatic change from the buoyant trend of the early 1960s. The fall, and the high multiplier effects of tourist expenditure (there being less leakage through imported inputs than is associated with many other forms of expenditure), may explain part of the difference between actual and expected trends of output, especially in services, indicated by Table 8. The political problems, plus the general slow-down in world trade and particularly that in the United Kingdom, when added to international monetary uncertainties and the fluctuating progress of the prolonged negotiations also may have damped both industrial exports and capital inflows for new industrial projects. But when all this is considered there is still little doubt that domestic forces, stemming from a common cause—rising inflationary pressures, contributed significantly to the deceleration.

The inflationary record

The recent sharp rise in costs and prices is shown in Table 9; although the acceleration got under way somewhat earlier than the average figures would indicate, and, in the early stages, factors other than spiralling wages

and salaries played an important role. The effects of the 1967 devaluation, a sharp increase in agricultural prices (resulting initially i.a. from restocking demand following an outbreak of foot-and-mouth disease in the United Kingdom) and generally buoyant domestic and foreign demand contributed at least as much as rising labour costs to the fact that consumer prices in December 1968 were 5½ per cent higher than twelve months earlier. Accelerating prices, a more restrictive tone in Government policy statements towards the close of 1968, demonstration effects from the United Kingdom (where wage explosion had just begun) provided the background for the "Twelfth Round" of wage negotiations which were just beginning. The 20 per cent settlement of a prolonged maintenance craftsmen's strike set the tone for agreements under this round and wage claims continued to spiral until the close of 1970 when a Government threat to improve legal restrictions led to a voluntary national settlement between employers and unions for the Thirteenth Round. The agreement was clearly inflationary, however (see footnote 1 on page 11), and other factors such as rising world food prices, imported inflation from other countries, and indirect tax increases continued to add to retail price pressures.

Table 9 **Earnings, Costs and Prices**
Percentage changes, annual averages

	1951-60	1961-65	1966-68	1969-71[1]
Wages and salaries per employee[2]	5¾	7¼	8¾	13¾
Productivity[2]	2¼	3½	6	2¾
Unit wage and salary costs[2]	3½	3½	2¾	10¾
Wholesale prices (output of industry)	3½	3	4	5¾
Consumer prices	3¾	4¼	3½	8

1 OECD Secretariat estimates.
2 Transportable goods industries.

Sources: *Statistical Abstract of Ireland*, 1968; *Statistics of Wages, Earnings and Hours of Work*, 1970; OECD, *Main Economic Indicators*.

If continued, this sharp acceleration in wage/price behaviour would bode ill for the Irish competitive position (Table 10). It is true that analysis of Irish export performance in recent years suggests that industrial exports have done rather well, gaining market shares in nearly all major product and market groups. But it is not excluded that export growth would have been faster, import substitution would have been larger, or Ireland a more attractive production location for foreign investors if inflationary pressures had been less. Much less does it exclude the possibility that a continuation of the current trends will soon influence export and import performance, as well as the size of net capital inflows. Certainly, the body of theoretical analysis and the experience of other countries suggests all three consequences. With respect to the export performance, the Irish Export

Board has, in fact, already underlined the price resistance which some exporters in labour-intensive industries have experienced over the past three to four years[1].

Table 10 **Unit Labour Costs and Export Performance**
Percentage changes, annual averages

(*a*) $ UNIT WAGE COSTS, MANUFACTURING INDUSTRY

	1961-65	1966-68	1869-71[1]
Ireland	3¼	–2	11½
United Kingdom	2¼	2	8¼
EEC[2]	3½	–½	7
United States	–1	2½	2½
Japan	2¼	¼	6

(*b*) IRISH EXPORT PERFORMANCE[3]

	1965	1966	1967	1968	1969	1970
1 Growth of Irish markets[4]	3¾	8¼	12½	12½	11	12¼
2 Growth of Irish exports	9½	11½	22½	13	15	27½
3 Export performance (1 — 2)	5½	3¼	10	¼	4	15¼

1 Figures to mid-1971 only.
2 France, Germany and Italy weighted by 1970 shares in world trade.
3 Industrial exports only.
4 The growth of world trade in non-agricultural products weighted by the commodity and geographical pattern of Irish exports in the base year.

Sources: NIESR, *National Institute Economic Review*, London; ESRI, *Quarterly commentary*, Dublin; OECD, *Foreign Trade Statistics Bulletins*, Series C.

A major contributor to the success of industrial exports has been the influx of foreign capital for productive purposes (Table 11). The unabated rise in Irish labour costs may have had recently a moderating impact on these flows; but, as Table 11 shows, the rise in the average scale of the projects has been an offsetting factor. It could be, furthermore, that increased marketing efforts by the Industrial Development Authority (IDA), improved training and other services, the discovery of mineral deposits in Ireland, an increasingly international outlook within the world business community and the likelihood of early Irish entry into the EEC may have helped to offset the disincentives of a deteriorating competitive position and recent political uncertainties. Nonetheless, the IDA has expressed concern that cost inflation has been having a serious effect on industrial investment and only if the competitive position is restored can Ireland even maintain its share of expanding investment flows[2].

1 See Córas Tráchtála (Irish Export Board), *Annual Report*, 1970, p. 10.
2 See IDA, *Annual Reports*, 1969/70 and 1970/71.

Table 11 **Development of New Industry**
Annual averages

	1952-60	1961-69	1966-68	1969-71
Number of new projects	15	30	130	95
Fixed investment involved[1]	2	10	15	50
Fixed investment per project[1]	0.2	0.3	0.1	0.5
New jobs created	1 500	5 000	6 000	11 000
Fixed investment per job[1]	1 200	1 900	2 700	4 500

1 £ million, 1963 prices.

NOTES The figures cover new projects or major expansions for which the IDA has given grants. About 30 per cent of the new firms are Irish owned. There has been no great change in the ownership trend over the period and Irish-owned projects have tended to involve rather less fixed investment than foreign-owned projects The data have generally been taken from IDA publications, with the fixed investment figures deflated by the national accounts implicit price deflator for all manufacturing investment. The employment figures are based on promoters'aggregate forecasts: the 1966 survey cited below found that actual employment in that year in grant-aided projects was about 14 000, compared with promoters'forecasts of about 20 000 at full production. Many of the figures have been partially estimated, especially those for most recent years, and should be considered only as orders of magnitude.

Sources: IDA, *Survey of Grant-aided Industry*, 1967; IDA, *Annual Report, 1969/70 and 1970/71.*

Loss of competitiveness has further affected output via the substitution of imports for domestic production. Table 12 illustrates the increasing share which competitive imports have been winning on domestic markets. In part this is a natural reflection of longer-term trends—the shift towards a wider range of consumption goods as real incomes and export earnings rise. But there has been a marked acceleration in the last few years, despite the lower real growth rates of output and private consumption and much of this break

Table 12 **Domestic Expenditure and Imports**
Percentage changes, annual averages

	1954-60	1961-65	1966-68	1969-71
Import prices, consumer goods	2	2	2¾	4½
Wholesale prices[1]	2	3	4	6
Imports of consumer goods[2]	2	12½	10	10
Private consumption[2]	1½	3¼	4½	2¾

Percentage shares of imports in domestic markets

	1960	1965	1968	1971
Consumer goods in private consumption	9	11	13	14
Competing imports in sales of manufactures	13½	14½	17	21

1 Output of industry.
2 Constant prices.

Sources: Irish Statistical Bulletin; OECD, *National Accounts of OECD Countries, 1953-1969;* Department of Finance, *Review of 1970 and Outlook for 1971;* OECD Secretariat estimates.

in the longer-run trend must be due to the relative advantage which imports have been gaining[1]. Table 12 suggests that this is partly attributable to the increase in Irish costs and prices relative to those in other countries. Furthermore, the Anglo-Irish Free Trade Agreement may now be biting rather harder on the side of imports, beneficial though it has undoubtedly been to Irish exports; the tariff barrier against United Kingdom has come down to 40 per cent of its 1965 level and will be completely removed in 1976.

The Authorities' concern with the course of wages and prices led in the first place to a more deflationary policy stance. As the current budget was not, in the past, widely used for demand management purposes, much of the burden fell on the capital account. Table 13 illustrates the break in the trend in the public capital programme over the last two years. As about two-thirds of fixed capital formation is undertaken either by the Government, semi-state bodies or under investment incentive schemes, the impact on overall investment, output and employment was considerable.

Up to comparatively recently, there was a commitment in principle to a balanced current budget on the part of the Irish authorities. This was, however, an *ex ante* commitment, and, as the inflationary spiral proceeded, the *ex post* outcome often provided stimulus to the economy. Current

Table 13 **Public Investment and Output**
Percentage changes, volume, annual averages

	1960-64	1965-66	1967-69	1970-71
Public capital programme	13	–3¼	16	2½
Gross fixed investment	12	3½	14	1¾
GNP	4¼	2	5¾	2

NOTE The public capital programme figures relate to financial years and have been deflated by the implicit national accounts deflator for gross fixed investment.

Sources: Budget Statements; OECD, *National Accounts of OECD countries 1953-69;* OECD Secretariat estimates.

expenditures rose sharply in value terms as a result of adjustments in welfare payments and agricultural subsidies and in public service pay to increasing wages and prices. On the other hand, current revenues showed less buoyancy on account of certain features of the taxation structure: receipts are heavily dependent on flat rate customs and excise duties, and some revenue is foregone under the industrial and export incentive schemes and also because farmers are largely not assessable for income tax purposes. When it became necessary in 1968 and 1970 to consider revenue adjustments to forestall excessive current deficits, measures tended to concentrate on the indirect tax side despite the inevitable impact on prices and the ensuing possible repercussions. Thus, and partly because of the structure of the taxation and expenditure patterns, the public sector found itself in a position where it was difficult to carry out successful demand management policies without unwanted side effects on price pressures.

1 Imported goods, being rather inelastic to price changes, increased their share in total expenditure as a result of the 1967 devaluation, which greatly increased the import bill.

Performance during the period of the Third Programme fell short of expectations, then, largely because of inflationary developments. External factors, notably political problems and depressed economic conditions in the United Kingdom, contributed to the difficulties. As a result, output grew more slowly than anticipated and, as indicated by Table 14, employment fell off and unemployment rose—partly as a consequence of changed emigration prospects. Although the overall pressure of demand was not excessive, the demand for certain categories of skilled labour was high. This, coupled with a strongly organised labour force but a basically decentralised trade union movement, a tradition of free collective bargaining, and a pattern of wage determination which follows " leading settlements ", is enough to create inflationary pressures disturbing to Irish development strategies. Adding a taxation structure of public finance which tends to require indirect tax increases over substantial area in periods of inflation further complicates the problems of control. Finally, if these inflationary forces are allowed to create imbalances in costs relative to other countries, it is only to be expected that as the economy is integrated to world patterns (a condition essential for achieving economies of scale, modernisation of production processes and rising real standards of living) investment and employment flows will be redirected. If, therefore, Irish development strategy is not to be undermined, emigration is to be discouraged and real incomes increased, the deterioration of Ireland's competitive position must be halted.

Table 14 **Employment Changes**
Average annual changes, thousands

	1964-67	1968-70	1971[1]
Manufacturing industry			
Grant-aided job creation[2]	3	5	5
Qualified redundancies[3]	0	2	4
Other net job creation		2	–2
Employment	3	6	–1
Other industries and services			
Qualified redundancies	5	2	5
Net job creation		7	4
Employment	5	5	–1
Agricultural employment	–10	–10	–7
Total employment	–1	1	–9
Unemployment rate[4]	6.0	6.8	7.2

1 Estimate.
2 Increase in employment in new projects or major expansions for which the IDA has given grants.
3 Number of redundant workers qualified to receive redundancy payments. Under the redundancy payments scheme qualification required four years service with the employer. In September, 1971 this service requirement was reduced to two years, which may have accounted for some of the 1971 increase in qualified redundancies. It is estimated that with an unchanged scheme the number would have doubled (the registered increase was from about 3 900 in 1970 to 8 550 in 1971).
4 Percentage of insured persons on the live register, excluding agriculture, fishing and private domestic service.

Sources: IDA, *Annual Reports*, 1969/70 and 1970/71; *Statistical Anstract of Ireland; Irish Statistical Bulletin;* Irish submission to the OECD; OECD Secretariat estimates.

Industrial relations, prices and incomes

One important cause of loss of output, reduced employment and rising costs was the frequency of industrial disputes preceding settlements to which Ireland has seemed to be unusually prone (Table 15). The record up to 1971 was not particularly encouraging; the maintenance craftsmen's strike in 1969 and the cement industry strike in 1970 were especially disruptive. The past year has brought marked improvements in this area; the National Agreement, and particularly its " Anomalies " clause, brought an exceptional degree of industrial peace with no major strikes occurring[1].

Table 15 **Time Lost in Industrial Disputes[1]**

	1961-70	1969	1970
Ireland	1 052	2 170	480[2]
United Kingdom	318	510	740
EEC	470	1 090	470
EEC ex Italy	129	83	126
United States	1 122	1 390	2 200

1 Man days lost per 1 000 workers in mining, manufacturing, construction and transport industries.
2 The bank dispute is not included in this figure: it accounted for over three-quarters of man days lost in all industries.
Source: International Labour Office.

Although the Irish Authorities have, usually through the Budget, taken action to raise farm incomes as a consequence of increases in other sectors and to improve the relative income of recipients of social welfare benefits, they have generally refrained from direct intervention in the processes of income determination. In recent years the Government has increasingly pointed out the dangers to the economy of excessive income increases and the principles which should govern income determination—occasionally including general guidelines at the beginning of the year on the tolerable rate of income increase. In 1969 it took special initiatives in promoting a reasonable pay settlement in the public service, weighted in favour of low-paid workers, and the role in promoting the 1970 National Agreement has already been described.

The system of price control in effect since 1965 (largely limited to the manufacturing stage) was greatly strengthened by the formation of the tri-

1 In those cases where claims were referred to the Labour Court, the decision was generally accepted; and the Agreement has enabled the Trade Union Congress to exert greater pressure on its constituent unions. In addition, the Congress adopted new strike procedures in October 1970 which broke the long Irish tradition that union members would, under no circumstances, cross a picket line manned by another union. Under the new procedures, the unions may apply to the Congress for an " all-out " picket to be declared. If Congress backs the application, special placards are issued and picket lines are not crossed; otherwise, the traditional practice is not observed. The results are to dissuade unions from undertaking strike action against Congress advice and employers from resisting " all-out " action, thus helping to bring matters to a head and encouraging more rapid settlement.

partite National Prices Commission last year. Coverage has been extended to encompass the retail and service sectors and the Commission has a broad range of powers to delay, investigate and report upon applications for price increases. The Commission operates under a system of mandatory prior notification of proposed price increases. Its principal interest will be focused on cases where one firm (public or private) has a dominating market position, where there is little competition from imports or where competition appears for some reason to be limited. On the retail side the aim will be to stimulate competitive forces, backed by legislation on such problems as price display, the collection and publication of price information on the bulk of consumer goods and the investigation of special offers, trading stamp schemes, etc.

Thus, there have been encouraging trends last year in industrial relations and in the machinery of income and price determination and control. But this is not to suggest that the arrangements are as yet adequate to prevent cost-push inflation. But it is difficult to see how suitable rates of expansion of output and employment can be achieved unless the deterioration of Ireland's competitive position is halted[1]. Within the range of development strategies, therefore, priority should be given to the prices and incomes field. In the longer term, arrangements based on the Employer-Labour Conference seem promising; but there is need for Government participation as well, not simply as an employer, but to ensure that the national interest is fully taken into consideration. The urgency of the present inflationary problem suggests that, if the necessary comprehension and co-operation are not forthcoming, other solutions must be envisaged.

EEC entry

The negotiations on Ireland's accession to the European Communities were successfully completed in early 1972. Subject to ratification of the terms of accession by the Irish Parliament and acceptance of the necessary constitutional changes in the forthcoming referendum, accession will take place on 1st January 1973. Ireland, like the other applicant countries, will gradually assume the full obligations of membership over a transitional period extending to July 1977. Apart from agreements reached on various aspects of transition, certain problems specific to Ireland had to be solved, notably avoidance of interference with progress under the Anglo-Irish Free Trade Agreement, special provisions relating to motor vehicle assembly activity in Ireland, special treatment concerning liberation of capital movements and fishery and veterinary legislation and, above all, special consideration of Irish development needs. In the latter connection it was recognised that

1 In its Winter 1971 *Quarterly Bulletin* the Central Bank estimated that with a 4 per cent real growth rate in 1972 and a 5 per cent rise in import prices, wage and salary increases of more than 8 per cent would give imports a further price advantage on the domestic market. As the 4 per cent growth rate would imply increased industrial employment (at higher average wage rates) the increase in wage and salary rates would have to be less than 8 per cent. On somewhat different assumptions last year's OECD review suggested that annual increases in wage and salary rates in excess of 6 per cent would produce a deteriorating competitive position. The Second Phase of the National Agreement provides for average increases of about 7 per cent for a six month period falling within 1972 and, as the Central Bank said, " the margin for error is evidently very slight ".

the country's economic and social imbalances of a regional and structural nature would have to be overcome. To this effect, a special Protocol is annexed to the Treaty of Accession, noting the aims of Irish development policies and pledging community support of these aims.

The economic implications of EEC membership have been discussed in three recent Government Papers[1]. The outlook for agriculture is very favourable; higher EEC prices and expanded markets could lead to a 30-40 per cent increase in the volume of gross agricultural output by the end of the transition period (i.e. a 4½ per cent annual rate compared with the 2½ per cent annual rate registered over the 1960s), and higher EEC prices could bring the increase in the value of output to over 75 per cent. But structural shifts are foreseen: the principal Irish products (livestock and dairy produce) are expected to do especially well, but pig, poultry and egg production may benefit less and horticultural production could suffer. The outlook for industry is less straightforward, as the effects of the prospective completion of the Free Trade Area Agreement with the United Kingdom by 1975 must also be taken into account. The expansion of output and employment in other areas of existing industry and in newly-established firms must be set against this. It is difficult to assess the likely inflow of new projects as a result of membership, much will depend on the progression of training schemes and labour costs. The official estimates, based on the maintenance of the competitive position, are that total employment in manufacturing will increase by 50 000 by 1978 and that the volume of output will grow at an average annual rate of 8½ per cent (compared with 6½ per cent in the 1960s), with some acceleration probable over the period.

The overall conclusion reached is that, " if competitiveness is achieved ", real GNP growth will average nearly 5 per cent in the 1970-78 period. The tempo of expansion is expected to accelerate as the adaptation to free trade is completed. Industrial and services employment is expected to rise by nearly 14 000 per annum (11 000 in the 1960s) and agricultural employment to fall by over 6 000 per year (10 000 in the 1960s). These figures imply annual aggregate employment increases of about 6 000, compared with about 1 000 over the 1960s, and the progressive reduction of unemployment and involuntary emigration.

Considering the constraints on Irish economic policy and performance mentioned earlier in this chapter, EEC entry offers greatly improved prospects of removing structural imbalances and attaining full employment. Constraints on the agricultural sector will be eased considerably, while the apparatus for promoting industrial development will be retained. The burden on public finances may also be alleviated, primarily through reductions in agricultural export subsidies and welfare payments. It is to be hoped that the net saving to the Exchequer which membership implies (estimated at £ 25/30 million annually up to 1980 and increasing over the period) will provide an opportunity to move towards a longer-term posture of public sector savings, thus facilitating the financing of the public capital programme, and allowing

1 *Membership of the European Communities—Implications for Ireland*, Dublin, 1970; *Irish Agriculture and Fisheries in* the EEC, Dublin ,1970; *The Accession of Ireland to the European Communities*, Dublin, 1972.

more flexibility in short-term fiscal policy. The removal of some of the charges on current expenditures, allied to the introduction of the value added tax later this year, should also help to improve the built-in stabilizing properties of the budget. Manpower and regional policy developments are also given full encouragement by the terms of entry and it can be hoped that the encouraging trends over the past year will continue[1]. But once again, if the full benefits of membership are to be achieved, the competitive position must be maintained, if not improved; the need for maintaining competitiveness will be all the greater as the process of integration proceeds. Over the transitional period, the pace of structural change will accelerate and the need for close attention to price developments and for a co-ordinated approach to income determination will be greater than ever.

V CONCLUSIONS

The recent record of Irish economic growth is disappointing. The 1970-71 trend was around 2 per cent and the 3 per cent expected in 1972 will not do more than absorb some of the slack which has developed. Sluggish growth has been accompanied by a sharp rise in unemployment, and a still rapid, though moderating, cost-push inflation. The progressive sharpening of competition resulting from the steady dismantling of tariff barriers under the Anglo-Irish Free Trade Agreement, which will be reinforced by entry into the European Communities, may help to stabilize price trends. But progress towards freer trade must be accompanied by a reduction of cost pressures if employment levels are to improve and if the balance of payments deficit on current account is not to become a matter for concern.

These problems are not new, and their origins can be traced back to structural as well as to conjunctural factors. The high absolute level of unemployment—side by side with bottlenecks in certain localities and skills—reflects the still somewhat traditional industrial structure, and highlights the urgent need for modernising production. But its sharp aggravation in recent months was the result of the low level of demand at home and in the United Kingdom. Irish inflation is also, to a large extent, a reflection of trends abroad. But Ireland has been among those Member countries experiencing the most rapid rates of cost and price increases over the past three years.

1 The Industrial Training Authority (AnCo) is to open further three training centres in 1972, with an annual capacity of 1 200 workers. Three temporary centres with a capacity of about 250 are also being brought into operation. These new centres approximately double training centre capacity; and one, to open in Cork, represents a breakthrough in that it will train skilled (as opposed to semi-skilled) workers by accelerated methods. Until recently trade union opposition precluded the introduction of such schemes. Meanwhile the IDA has proceeded with regional planning, opening regional offices in early 1971 and drawing up eight regional industrialisation plans. These are to be submitted to the Government, along with an infrastructural plan made in consultation with the Department of Local Government, and a decision is expected by mid-year. If approved these plans should provide a solid regional basis for the planning of public capital expenditure and the location of new industries.

Evidence exists that imports have gained ground in recent years as a result not alone of freer trade but also of some loss of Irish price competitiveness. Experience in 1971 shows that while this trend has not damaged the buoyancy of Irish exports, a continuation could impair prospects of future expansion.

In a somewhat longer perspective, and assuming that Ireland is able to maintain price competitiveness, accession to the European Communities could pave the way for higher, sustainable growth. A better average real GDP growth than that experienced in the past decade could well be practicable in the 1970s. Considerable increases in agricultural prices and expanding markets could strengthen the balance of payments and go a long way towards improving agricultural employment. As a result, the Government hopes that net employment creation (i.e. after allowing for redundancies) in industry and services may speed up appreciably (i.e., from the 10-11 000 range achieved in the 1960s to perhaps an annual rate of 14 000 persons). The upshot would be a progressive reduction of unemployment and less need to rely on the safety valve of emigration. It should be noted, however, that most of the benefits of expansion will be realised mainly towards the second half of the transition period[1], whereas the competitive pressure and the need to rationalise will be felt most acutely in the early years.

Policy decisions in the immediate future have to take simultaneous account of the need to stimulate the economy and to achieve a less inflationary and more orderly development of incomes. There is scope now for considerable reflation. Acceleration of the expansion into the 4 to 5 per cent range by mid-1973 would, together with a prospective improvement in the United Kingdom labour market, help to reduce the high level of unemployment; but in future years a faster expansion will probably be called for, in order to undo the effects of several years of very slow expansion. Even to achieve a more modest rate of expansion would, however, call for strong expansionary measures. These could take e.g. the form of an increase of public expenditure, which would have a direct and quick impact on domestic activity. Another possibility to be considered is a reduction in taxation, perhaps in the realm of indirect taxes; this would have a direct moderating impact on price pressures and it would also give some immediate boost to consumption demand. A further possibility would be to give additional incentives to investment; but experience shows that investment stimuli alone, without the support of a reasonably buoyant consumers' goods market, are ineffective in stepping up activity, particularly when considerable excess capacity exists.

But if the stronger growth of domestic demand is to exert the intended effect on domestic activity and employment rather than on imports, it must be accompanied by vigorous action to moderate the rise in wages and prices, thus arresting or reversing the erosion of the competitiveness of Irish industry. The existing National Pay Agreement and Employer-Labour Conference provide some framework for negotiating a rational wage agreement. But it may be necessary for the Government to take a more central role than earlier in the process of negotiation in order that prices, non-wage incomes, and some aspects of income redistribution may be included in the contract. In this

1 The transition period ends in July 1977.

regard, and to strengthen the case for wage restraint, some such move as a temporary public utility price freeze might well set a good initial example—but what is far more important is that a continuing effort should be made to convince all parties concerned and the public generally, that important issues are at stake; that an increased effort must be made to bring income developments under better control.

The previous agreement probably pushed up wages by about 10 per cent on an annual basis. Nonetheless, it removed an element of uncertainty and was followed by a considerably improved degree of industrial peace. It is important that any new agreement should be less inflationary. Moreover, it is highly desirable that it should extend over at least 1½ to 2 years, and include some provisions for co-ordination in the timing of bargains. Inclusion of an indexation clause, which has evidently met with approval in the present agreement, might he helpful in the latter respect; but an indexation clause must be regarded as a trade-off for moderation in other parts of the bargain, not as an inflationary supplement to an already inflationary agreement.

Should the central settlement agreed between the labour market partners be excessive from the point of view of improving competitiveness, the Government may have to intervene by statutory controls to keep the rise in wages and prices within limits compatible with the national interest. In the longer run, a more permanent strategy for national income determination should be developed.

It would probably be impossible to avoid some further temporary increase in the underlying current account deficit of the balance of payments (i.e. excluding ships and aircraft) as the result of an expansionary fiscal policy. For the fourth year in a row, it may amount to some 4 per cent of GDP, a high level by any standard. With strong and growing reserves, and substantial capital inflows of a rather stable nature, this may not be a serious problem. However, a feature which requires watching is the increasing share of finished consumer goods in imports. It may not be possible, even with a better trend in domestic costs and prices, to change this trend significantly. In these conditions, the appropriate strategy would be to intensify export efforts, particularly in those commodities whose markets tend to be dynamic[1]. Entry into the European Communities should provide the opportunity for doing so.

It is highly desirable that short-term demand management tactics should form part of a longer-term economic strategy which lays down economic and social priorities and new growth targets. Formulation of new and comprehensive strategies would be facilitated by the provision of a sufficiently authoritative forum for getting differing interest groups together, for the rapid communication of divergent views and the negotiation of compromise solutions, e.g. in dealing with incomes and prices policies as a whole. The establishment of the National Prices Commission is a step towards this end. The Commission is seeking to establish criteria for determining the degree of competition in different sectors and market situations, and is adjusting its

1 In this respect, and in the long run, the large share of the United Kingdom—a slowly growing market—in Irish exports may have been a retarding factor. On the other hand, the British market has provided a secure outlet for Irish exports (mainly agricultural produce).

price surveillance procedures accordingly. It has wide powers to study all factors of price determination from the cost side in order to bring out possibilities for improving efficiency, and has indicated the intention of examining public sector prices as well. But more is needed than current price surveillance. The creation of other consultative forums to advise on economic strategy on the lines of the former National Industrial Economic Council (an advisory body representative of the public sector, trade unions and employers) would seem desirable.

In Irish circumstances an overall and fundamental review of the allocative and financing role of the public sector as a whole is desirable. Substantial work to this effect has already been done, and further intensification is at present in progress. It would seem appropriate that studies be brought to an early conclusion in order to make available a comprehensive review of capital flows through the public sector, the return on such capital and the opportunity cost involved. Largely because of the age structure of the population, current transfers are also quite large. The relatively small size of the labour force relative to the total population contributes to the burden imposed by these transfers. Undoubtedly, there is scope for some improvement in streamlining social programmes and improving the efficiency of their administration. Information made available through the development of programme budgeting may be helpful in both these respects.

It might also be useful to review the role of monetary policy in growth strategies. The pattern of Irish central banking should continue to be adjusted to suit the needs of a growth-orientated economy. Recent plans to reinforce quantitative credit guidelines by liquidity controls should help to make monetary policy more effective in this respect.

The need for a comprehensive long-term strategy is underlined by forthcoming entry into the European Communities and the prospects of moving to a higher sustainable rate of growth. Formulation of a new programme would serve to shed light on the issues and options involved, and to foster informed public discussion of the aims and the feasible scope of economic and social policy. Long-term questions which might be included in such a programme are:

— manpower policies, considering both employment and rationalisation needs. This might call for some acceleration of the expansion of industrial training and labour adaptation schemes, particularly so as to give service industries the same encouragement as is provided for manufacturing;
— a more active regional policy—for which there will be a good opportunity when Ireland is inside the European Communities—in order to make an effective assault on long-persisting structural unemployment;
— industrial policies to further encourage and maintain capital inflows for productive purposes, particularly those providing investment in export-oriented industries. Emphasis should be given to the maintenance of the Irish competitive position, as otherwise foreign investment might be adversely affected. While increased marketing efforts, improved training services etc., may offset these negative influences to a large extent, it is obviously necessary to make every effort to

prepare to meet the challenge of EEC entry by maintaining and improving the attraction of Ireland as a market for direct investment.

— means of further promoting the tourist industry, despite the present —and hopefully temporary—difficulties. Particular attention needs to be paid to the preservation and, where possible, the improvement, of those unspoiled natural attractions upon which the industry is largely based.

STATISTICAL ANNEX

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Table A **Expenditure on Gross National Product**

	1962	1963	1964	1965	1966	1967	1968	1969	1970	1971
					(a) £ *million at current prices*					
Consumers' expenditure	564.2	602.1	670.9	706.9	749.0	795.0	902	1 010	1 114	1 239
Public authorities' current expenditure	91.4	99.4	118.8	129.4	135.9	145.2	165	192	228	268
Gross fixed capital formation	129.0	147.7	173.3	197.9	197.1	217.6	251	329	353	406
Change in stocks and work in progress	+12.6	+12.6	+20.0	+27.3	+7.8	–4.5	+17	+19	+20	+13
Domestic demand	797.2	861.8	983.0	1 061.5	1 089.8	1 153.3	1 335	1 550	1 715	1 926
Exports of goods and services	237.4	265.3	301.1	309.6	340.7	385.6	452	494	584[1]	659[1]
Aggregate demand	1 034.6	1 127.1	1 284.1	1 371.1	1 430.5	1 538.9	1 787	2 044	2 299	2 585
less: Imports of goods and services	286.7	323.0	369.6	396.7	401.3	418.1	529	624	714[1]	795[1]
Net factor income from abroad	35.9	35.6	37.1	45.3	44.5	47.7	61	61	65	68
Gross national product at market prices	783.8	839.7	951.6	1 019.7	1 073.7	1 168.5	1 319	1 481	1 650	1 858
					(b) £ *million at constant (1958) prices*					
Consumers' expenditure	524.1	545.5	570.0	574.9	588.7	606.3	658	688	701	716
Public authorities' current expenditure	77.4	80.6	82.8	86.1	87.4	91.7	98	106	110	116
Gross fixed capital formation	118.5	132.9	146.9	161.9	156.7	167.1	187	231	228	241
Change in stocks and work in progress	+12.5	+12.0	+18.0	+23.5	+6.9	–5.4	+9	+14	+13	+8
Domestic demand	732.5	771.0	817.7	846.4	839.7	859.7	952	1 039	1 052	1 081
Exports of goods and services	230.2	252.3	272.9	275.6	297.9	335.6	369	382	421[1]	444[1]
Aggregate demand	962.7	1 023.3	1 090.6	1 122.0	1 137.6	1 195.3	1 321	1 421	1 473	1 525
less: Imports of goods and services	283.9	314.2	354.9	371.6	374.7	392.1	459	519	557[1]	581[1]
Net factor income from abroad	35.6	34.7	35.7	42.5	41.4	44.8	53	51	51	50
Gross national product at market prices	714.4	743.8	771.4	792.9	804.3	848.0	915	953	967	994

1 In 1970 and 1971 merchandise imports of Shannon Free Airport are included with imports of goods and services. In other years these have been included on a net basis with exports.

Sources: National Income and Expenditure; Irish submission to the OECD.

Table B Production, Employment and Other Economic Indicators

		1967	1968	1969	1970	1971	1970				1971			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Volume of agricultural output[1] (1968 = 100)	94.7	100	98.1	99.5									
2	Cattle numbers (thous., mid-year)	5 586	5 572	5 688	5 957	6 142								
3	Index of industrial production, transportable goods[2] (1953 = 100)	196	218	234	241		219	249	244	252	234	262	248	
	of which:													
4	Mining and quarrying[2]	365	450	490	491		366	671	511	415	438	644	568	
5	Manufacturing[2]	189	208	223	230		212	232	232	245	225	245	235	
6	No. of males engaged in farm work (thousands, 1st June)	308	299	288	274									
7	Employment in transportable goods industries (thousands)[2 3]	187	191	205	208	207	204	207	210	210	207	208	207	
8	Registered unemployment (thousands)[4 7]	55	58	57	65	62	69	69	60	62	70	57	55	68
9	Average hours worked per week in transportable goods industries[5]	43.8	43.8	43.2	43.0	42.6	42.5	42.7	43.0	42.9	41.7	42.4	42.6	
10	Value of average weekly retail sales (1968 = 100)	92	100	111	122	134	109	118	123	137	121	132	136	150
11	New private cars registered for the first time (thousands)[2]	40.3	51.4	50.5	52.9	50.9	13.9	17.0	12.0	10.0	13.8	15.1	12.5	9.5
12	Net outward passenger movements by sea and air (thousands)[6]	–49	–5	–11	–5	–1	–14	+17	–29	+21	–23	+22	–23	+23

1 Net output adjusted for stock changes.
2 For items 3, 4, 5 and 7 the figures for 1970 and 1971, and for item 11 the figures for 1971, are provisional.
3 Quarterly figures are for March, June, September and December; annual figures are averages.
4 Figures over the years are not comparable owing to changes in coverage.
5 Annual figures are for September, quarterly figures relate to March, June, September and December.
6 + = net inward movement; — = net outward movement.
7 Coverage changes in 1971 have severely affected comparability.

Source: Irish Statistical Bulletin.

Table C **Prices and Wages**

		1967	1968	1969	1970	1971	1970				1971			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Agricultural prices (1953 = 100)	118	130	134	140	151	139	143	138	142	151	151	148	155
2	Price per head live weight of bullocks at Dublin auctions (£)[1]	69.9	83.5	88.9	97.0		92.7	99.5	98.4	96.8	105.5	113.0		
3	Consumer prices[1] (mid-August 1953 = 100)	153	160	172	186	203	178	185	188	193	196	201	205	209
4	*of which:* Food prices	144	153	162	174	187	167	178	176	177	181	185	189	193
5	Wholesale prices (1953 = 100)	138	146	156	165	173	162	166	165	165	171	174	174	175
6	Industrial prices (1953 = 100)	143	149	160	168	177	166	168	170	170	173	176	178	180
	of which:													
	Simply transformed goods	118	123	126	131	134	129	130	131	132	132	134	135	136
	More elaborately transformed goods	152	159	173	182	193	179	182	184	185	189	192	195	197
7	Minimum weekly wages in agriculture[2] (1953 = 100)	222	240	284	321	399								
8	Average hourly earnings in transportable goods industries[3] (October 1953 = 100)	232	255	290	340	390	305	324	340	352	366	379	390	

1 Quarterly figures for February, May, August and November; annual figures are averages.
2 July in each year.
3 Quarterly figures for March, June, September and December; annual figures are for September.
Source: Irish Statistical Bulletin.

Table D **Money and Banking**

	1967	1968	1969	1970	1970 Q1	1970 Q2	1970 Q3	1970 Q4	1971 Q1	1971 Q2	1971 Q3	1971 Q4
1 Currency in circulation £ million[1]	124.7	133.8	143.1	158.1	151.3	163.1	157.0	173.3	171.8	172.6	174.4	185.7
2 Rediscount rate of Central Bank[2] (per cent)	7.25/32	7.11/64	8.¼	7.5/16	7.13/16	7.3/8	7.5/16	7.5/16	7.25	6.0	5.25	4.81
3 Price of 6 per cent Exchequer Stock 1980-85[3] (per £ 100 stock)				74.37	70.79	73.25	74.71	78.71	71.34	73.7	75.33	79.36
4 Price index number of ordinary stocks and shares[3] (1953 = 100)	295	420	444	391	414	383	389	378	349	367	397	402
ASSOCIATED BANKS[2]												
5 Current accounts (£ million)	255.5	275.6	287.6		(lack or distortion of data because of the bank dispute)					364.0	365.1	359.1
6 Deposit accounts (£ million)	353.2	429.6	485.5							560.5	587.9	599.4
7 Total credit (£ million)	440.5	543.1	613.2							765.3	776.9	798.4
8 *of which:* Government (£ million)	91.2	129.9	167.0							215.9	238.1	242.2
9 Net external assets (£ million)[5]	130.7	74.8[4]	19.0									

1 Average of Fridays; quarterly figures refer to the final month.
2 End of period.
3 Average during period.
4 Reflects sterling transferred in November 1968 and in August 1969 to Central Bank in connection with the Basle arrangement.
5 Since the end of 1969 the net external assets of Associated Banks have not been significant and amount only to necessary working balances.

Sources: Central Bank of Ireland Quarterly Bulletin; Irish submission to the OECD.

Table E Foreign Trade and Payments

		1967	1968	1969	1970[1]	1971[1]	1970 Q1	1970 Q2	1970 Q3	1970 Q4	1971 Q1	1971 Q2	1971 Q3	1971 Q4	
1	Imports, £ million, monthly averages	32.7	41.3	49.2	56.3	62.8	52.7	57.6	53.3	61.7	68.3	63.8	57.4	61.9	
2	Exports, £ million, monthly averages	23.8	27.7	30.8	38.9	44.7	36.2	37.9	39.0	42.6	41.8	45.1	44.6	47.4	
3	Trade balance, £ million, monthly averages	–8.9	–13.6	–18.3	–17.4	–18.1	–16.5	–19.7	–14.3	–19.7	–26.6	–18.8	–12.8	–14.5	
4	Volume of imports (1968 = 100)	85.2	100.0	114.3	118.0		112.2	120.6	111.2	128.1	134.2	123.7	110.7		
5	Volume of exports (1968 = 100)	91.8	100.0	104.9	113.5		107.8	110.1	113.2	123.0	117.3	122.5	118.9		
6	Import prices (1968 = 100)	92.3	100.0	104.0	111.1		111.0	112.8	113.3	114.5	118.2	120.3	120.8		
7	Export prices (1968 = 100)	93.2	100.0	106.1	113.1		111.6	114.4	114.7	114.2	117.1	121.5	123.8		
8	Terms of trade (1968 = 100)	100.9	100.0	102.0	101.8		100.5	101.4	101.2	99.7	99.0	101.0	102.4		
	Reserves ($ million, end of period):													SDR[2]	$[2]
9	Gold	25	79	39	16	17	38	26	26	16	16	16	16	16	17
10	Currency assets	403	418	594	637	911	634	627	672	637	728	728	820	839	911
11	Reserve position in IMF	11	48	58	30	38	43	43	40	30	30	33	35	35	38
12	SDR holdings	—	—	—	13	29	13	16	16	13	26	26	26	26	29
13	Total	439	545	691	697	996	729	713	754	697	801	803	898	917	996

1 In 1970 and 1971 external trade of Shannon Free Airport is included in figures for imports and exports.

2 Data prior to December 1971 are converted into US dollars at the official par values. The December data are presented in two ways: expressed in SDRs (which correspond to US dollars at the unchanged gold parity of $ 35 per ounce) and expressed in US dollars, the dollar values reflecting the actual and prospective parities and central rates that were agreed on December 18, 1971 and subsequently, and gold at the price of 38 US dollars an ounce.

Sources: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin; IMF, International Financial Statistics (lines 9-13).

Basic Statistics : International Comparisons

				Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland
POPULATION		End of 1970	Thousands	7 398	9 691	21 561	4 906[2]	4 603[1]	51 004	61 846	8 842[2]	205.1	2 955
Net average annual increase		1960 to 1970	%	0.47	0.54	1.77	0.72[3]	0.35	1.06	1.04	0.65[5]	1.46	0.44
EMPLOYMENT	Total civilian	1970	Thousands	3 142	3 747	7 879	2 294[2]	2 142	20 410	26 705	(3 662)[2]	79	1 058
	Agriculture		% of total	18.3	4.8	7.7	11.9[2]	22.7	14.0	9.0	(48.2)[2]	(19.0)	27.5
	Industry[7]		% of total	41.0	44.7	31.4	38.5[2]	35.5	38.8	50.3	(22.5)[2]	(36.7)	30.0
	Other		% of total	40.7	50.5	60.9	49.6[2]	41.8	47.2	40.7	(29.3)[2]	(44.3)	42.5
PRODUCTION	GNP per head	1970	$[8]	1 940	2 670	3 550	3 200	2 180	2 920	3 020	950[2]	2 290	1 320
GDP by sector:	Agriculture	1969	% of total	7.0	5.3	5.9[9]	8.9	14.7	6.0[11]	3.0[11]	20.3	..	19.7[18]
	Industry		% of total	46.8	41.6	38.5[9]	40.1	41.3	48.1[11]	53.9[11]	28.2	..	34.0[18]
	Other		% of total	46.2	53.2	55.6[9]	51.0	44.0	45.9[11]	42.5[11]	51.5	..	46.3[18]
GNP[15] annual volume growth		1970	%	7.1	5.5	3.3	3.2	7.4	6.0	4.9	8.1	7.9	1.4
		1965 to 1970	%	5.1	4.5	4.5	4.0	4.8	5.8	4.5	7.0	2.1	4.0
INDICATORS OF LIVING STANDARDS		1969											
	Private consumption per head		$	970	1 470	2 050	1 770	1 060	1 680	1 390	640	1 190	830
	Expenditure on education		% of GNP	4.40	5.57	5.65[17]	6.00[19]	6.30	4.81	3.00[19]	2.40[18]	4.80	4.20
	Dwellings completed, per 1 000 inhabitants		Number	6.6	5.6[21]	9.3	10.1	7.9	8.5	8.2	14.7	7.2	4.3
	Passenger cars[22], per 1 000 inhabitants		Number	152	205	311	210	137	231	215	15	185[2]	130
	Television sets, per 1 000 inhabitants		Number	154	196	294	249	198	184	246	5	160	155
	Telephones, per 1 000 inhabitants		Number	169	190	425	311	215	149	185	87	330	94
	Doctors, per 1 000 inhabitants		Number	1.60	1.55	1.14[18]	1.41[18]	0.93	1.22[18]	1.50	1.49	..	1.09
GROSS FIXED INVESTMENT[23]	Total	1965-69 average	% of GNP	24.8	21.5	23.7[24]	22.8	25.0	25.3	25.4	25.9	29.7	20.9
	Machinery and equipment		% of GNP	12.5	8.9	9.6	11.3	8.8	11.0	11.1	10.2	8.2	9.2
	Residential construction		% of GNP	4.3	5.4	3.8	4.4	5.5	6.6	5.7	6.4	6.3	4.1
	Other construction		% of GNP	8.0	7.1	10.4	7.0	10.6	7.7	8.6[29]	9.6	15.2	7.6
GROSS SAVING		1965-69 average	% of GNP	26.6[25]	22.9	23.9[25]	19.5	27.8	25.9	26.7[25]	21.0	..	18.6[25]
PUBLIC SECTOR[30]	Total current revenue	1969	% of GNP	37.5[18]	34.2	35.2[18]	37.1	35.9	38.1	37.9	26.9	33.9[18]	30.7[18]
WAGES/PRICES	Hourly earnings[32]	Annual increase 1965 to 70	%	8.2[33]	8.2	7.3[34]	10.9[35]	8.4	9.2[36]	7.4	10.8[43]	13.5[37]	10.8[34]
	Consumer prices		%	3.2	3.5	3.9	6.4	4.7	4.3	2.7	2.5[44]	12.9	5.3
	GNP deflator		%	3.3	3.4	4.1	6.3	5.6	4.8	3.4	2.7[45]	12.4	5.8
FOREIGN TRADE	Imports[46]		$ million[8]	3 550	10 000	15 800[18]	4 410	2 420	21 880	32 220	1 930	180	1 550
			% of GNP	28.5	43.9	25.3	31.6	26.5	15.7	21.0	23.0	46.1	45.4
	Exports[46]		$ million[8]	3 590	10 190	15 490[18]	4 070	2 430	21 040	36 100	1 090	180	1 330
			% of GNP	28.8	44.7	24.8	29.1	26.6	15.1	23.6	12.9	47.2	39.1
BALANCE OF PAYMENTS	Current balance	1966-70 average	% of GNP	–0.5	1.7[21]	–0.3	–2.6	–1.2	–0.4	1.0	–3.6	–5.7	–2.9
Official reserves[47], end-1970: per cent of a year's imports[48]			%	49.5	25.1[21]	35.2	11.1	18.2	26.0	45.6	19.9[2]	34.6	44.3
	Change	February 1971 - February 1972	$ million	631	588[21]	959	304	333	3 048	4 880	276	12	249
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[50]			% of GNP	0.67	1.23	0.77	0.60	— [51]	1.24	0.80	— [52]	— [51]	— [51]
EXPORT PERFORMANCE[53]	Growth of markets[54]	1969 to 1970	%	19.4	16.9	11.5	17.0	16.9	18.9	16.3	18.4	..	13.6
		1960 to 1970 (average)	%	11.1	11.2	13.4	9.9	10.2	9.1	10.5	11.2	..	7.5
	Gains or losses of market shares[55]	1969 to 1970	%	–1.0	–1.7[21]	3.5	–5.8	–0.7	0.5	–0.1	–2.3	..	2.6
		1960 to 1970 (average)	%	–1.6	1.0[21]	–2.0	–1.3	–1.6	0.8	0.9	0.9	..	0.9

				Italy	Japan	Luxembourg	Netherlands	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[4]
POPULATION		End of 1970	Thousands	54 683	103 990	339.8	13 119	3 892	(9 588)[2]	33 824	8 083	(6 202)	35 666	55 812[3]	206 017	(20 540)
Net average annual increase		1960 to 1970	%	0.82	1.06	0.76	1.28	0.80	(0.86)[5]	1.06	0.75	(1.34)	2.50	0.60[6]	1.23	(1.05)
EMPLOYMENT	Total civilian	1970	Thousands	18 774	50 940	144	4 567	1 497	3 030	12 372	3 854	(2 767)	(13 519)[3]	24 709	78 627	3 850
	Agriculture		% of total	19.6	17.4	11.1	7.2	13.9	33.0	29.6	8.1	(7.0)	(72.1)[3]	2.9	4.4	6.3
	Industry[7]		% of total	43.7	35.7	46.5	41.0	37.3	35.7	37.4	38.4	(51.4)	(11.6)[3]	46.6	(32.3)	46.8
	Other		% of total	36.7	46.9	42.4	51.8	48.8	31.3	33.0	53.5	(41.6)	(16.3)[3]	50.5	(63.3)	46.9
PRODUCTION	GNP per head	1970	$[8]	1 700	1 910	2 940	2 400	2 900	660	970	3 820	3 260	350	2 150	4 850	561[3]
GDP by sector:	Agriculture	1969	% of total	11.3	8.7[12]	6.2[8]	7.0	6.5	17.7	15.0	5.9[9 11]	6.4[10]	32.2[12]	3.0[14]	2.9[11]	19.3
	Industry		% of total	38.9	39.1[12 13]	50.9[8]	41.6	38.6	42.8	35.3	45.2[9 11]	49.6[10]	27.4[12]	45.8[14]	35.8[11]	41.1
	Other		% of total	49.8	52.2[12 13]	42.9[8]	51.4	54.9	39.7	49.6	48.9[9 11]	44.0[10]	40.5[12]	51.3[14]	61.3[11]	39.6
GNP[15] annual volume growth		1970	%	5.1	10.9	2.9	6.0	3.6	6.4	6.3	4.8	4.4	5.2	2.1	–0.4	..
		1965 to 1970	%	6.0	12.1	3.4	5.2	4.4	6.2	6.4	3.9	3.7	6.8	2.1	3.3	..
INDICATORS OF LIVING STANDARDS		1969														
	Private consumption per head		$	960	840	1 300[8]	1 220	1 410	430	600	1 790[18]	1 740	256	1 230	2 850	275[18]
	Expenditure on education		% of GNP	5.80[18]	4.54[17]	5.00	6.71	5.81	1.44[17]	2.14[18]	7.80[18]	6.30	3.70	4.15[17]	5.10	4.59
	Dwellings completed, per 1 000 inhabitants		Number	5.2	11.9	..	8.6	8.6	4.3	8.2	13.7	9.5	3.3	6.9	7.7	6.4
	Passenger cars[22], per 1 000 inhabitants		Number	166	68	250	179	183	42	61	277	209	4	207	426	28[2]
	Television sets, per 1 000 inhabitants		Number	150	208	154	207	194	29	162	296	164	1.3	279	409	64
	Telephones, per 1 000 inhabitants		Number	143	171	290	226	271	69	113	497	437	13	232	543	31
	Doctors, per 1 000 inhabitants		Number	1.79[22]	1.09[8]	1.01	1.18	1.35	0.83[18]	1.30	1.24	1.31	0.36[13]	1.18[18]	1.64	1.10
GROSS FIXED INVESTMENT[23]	Total	1965-69 average	% of GNP	19.4	35.5	25.5	27.1	29.2	19.3	24.8	24.0	27.2	17.1	18.5	16.7[26]	..
	Machinery and equipment		% of GNP	7.4	29.0[27]	7.4	12.6	15.1	7.1	12.9	8.2	9.3	3.7	9.0	7.1[26]	..
	Residential construction		% of GNP	6.4	6.5	18.1[28]	5.3	4.6	4.5	4.4	6.1	6.9	3.6	3.6	3.5	..
	Other construction		% of GNP	5.7	— [27]	— [28]	9.2	9.5	7.8	7.7	9.7	11.0	..	5.9	6.1	..
GROSS SAVING		1965-69 average	% of GNP	23.2	37.9	28.1[25]	27.1	28.1	..	22.8	23.9[25]	28.3	18.6	18.3	18.4	..
PUBLIC SECTOR[30]	Total current revenue	1969	% of GNP	33.3	21.2	36.0[8]	41.9	43.4	..	22.4	48.1[18 31]	28.1	19.5	39.0	31.5	32.6[18]
WAGES/PRICES	Hourly earnings[32]	Annual increase 1965 to 70	%	8.2[38]	14.7[39]	..	8.9[40]	8.8[41]	9.7[33]	12.8[42]	8.9[43]	5.2[44]	..	6.7[45]	5.3[34]	..
	Consumer prices		%	2.9	5.5	3.0	4.9	4.9	6.4	5.1	4.4	3.5	8.1	4.6	4.2	10.6
	GNP deflator		%	3.4	4.7	4.9	4.8	5.0	4.8	5.1	4.3	4.0	5.5	4.6	4.0	..
FOREIGN TRADE	Imports[46]		$ million[8]	14 890	16 690	600[18]	13 540	4 070	1 620	4 870	6 080[18]	6 280	1 010	24 790	53 560	1 991[9]
			% of GNP	18.2	10.0	77.2[18]	48.0	41.8	28.2	16.9	23.8	33.4	7.7	22.7	5.6	21.0[9]
	Exports[46]		$ million[8]	16 810	19 080	640[18]	13 640	4 170	1 400	3 910	5 920[18]	7 120	755	26 720	55 510	1 875[9]
			% of GNP	20.5	11.4	81.8[18]	48.3	42.8	24.4	13.6	23.1	37.8	5.8	24.4	5.9	19.7[9]
BALANCE OF PAYMENTS	Current balance	1966-70 average	% of GNP	2.5	0.9	—	–0.6	–0.5	2.5	–1.2	–0.6	1.6	–1.5	0.2	0.1	..
Official reserves[47], end-1970: per cent of a year's imports[48]			%	35.5	25.6	—	24.2	21.8	96.2	38.2	10.9	72.7	48.5	13.0	36.3	6.4
	Change	February 1971 - February 1972	$ million	894	11 170	—	412	432	459	1 391	388	1 954	493	3 797	–1 170	(135)
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[50]			% of GNP	0.78	0.93	— [51]	1.42	0.59	1.02	— [52]	0.73	0.66	— [52]	1.06	0.61	— [52]
EXPORT PERFORMANCE[53]	Growth of markets[54]	1969 to 1970	%	16.6	12.6	—	18.3	17.3	14.6	15.8	17.2	17.3	18.1	16.3	13.5	..
		1960 to 1970 (average)	%	10.5	9.7	—	10.7	9.8	10.7	10.2	10.1	10.8	4.7	9.5	9.5	..
	Gains or losses of market shares[55]	1969 to 1970	%	–4.2	8.2	—	–0.2	–5.8	0.4	9.8	2.0	–6.6	–8.5	–4.9	0.1	..
		1960 to 1970 (average)	%	3.2	7.8	—	0.5	1.3	1.0	2.7	–0.1	–0.2	1.3	–3.2	–1.8	..

1 Does not include total net migration between Finland and the other Nordic countries.
2 1969.
3 30-6-1970.
4 National source.
5 1959-1969.
6 30-6-60 - 30-6-70.
7 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 1967.
10 The estimates for GDP by sector for Switzerland have been published in " la Vie économique ", November 1969.
11 GDP at market prices.
12 Net domestic product.
13 Electricity, gas and water works included in " other activities ".
14 Including stock appreciation.
15 At constant (1963) prices.
16 1962-1967.
17 1965.
18 1968.
19 1966.
20 1964.
21 Including Luxembourg.
22 1970.
23 At constant (1963) prices.
24 Excluding transfer costs of land and existing assets.
25 1964-1968.
26 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
27 " Other construction " included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
28 " Other construction " included in " residential construction ".
29 Including transfer costs of land.
30 General government.
31 Including depreciation.
32 Industry.
33 Monthly.
34 Manufacturing.
35 Including bonuses.
36 Hourly rates in manufacturing.
37 Hourly wages rates, unskilled workers.
38 Hourly rates in manufacturing, excluding family allowances.
39 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
40 Hourly rates in industry, males.
41 Males.
42 Excluding family allowances.
43 Mining and manufacturing, males.
44 Hourly rates.
45 Hourly rates in manufacturing, males.
46 Goods and services, including factor income, 1969.
47 Including reserve position in the IMF and special drawing rights.
48 Imports of goods in 1970.
49 1964 to 1969.
50 1970. According to the DAC definition. Including flows to multilateral agencies and grants by voluntary agencies.
51 Not Development Assistance Committee members.
52 Considered as a developing country for purposes of DAC reporting.
53 Values, percentage change. Figures are subject to many limiting factors. For an explanation see OECD Economic Outlook, simple definition, December 1970, pp. 65 and 69.
54 The growth which would have occurred in a country's exports if it had exactly maintained its share in total OECD exports to each of 19 broad geographical zones.
55 The difference between the growth rates of markets and exports.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, DAC and Statistics of Foreign Trade (Series A). Office Statistique des Communautés Européennes, Statistiques de base de la Communauté. IMF, International Financial Statistics.

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Series A - Overall trade by countries (quarterly) provides an overall picture of the total trade of O.E.C.D. countries (without commodity breakdown) analysed into flows with countries and country groupings of origin and destination.
The analysis is in terms of a standard geographical classification, in tables covering the latest available four years, twelve quarters and sixteen months. A monthly supplement brings the tables up to date in between successive quarterly issues.
Series B - Trade by commodities, Analytical abstracts (quarterly) is designed for a general analysis of the pattern of trade flows of O.E.C.D. countries, individually and in groups, by main commodity categories and partner areas and countries. Both the commodity categories and the partner countries and areas are defined in terms of standard nomenclatures, but for each reporting country only those which are significant are shown. The series is issued in six booklets, each covering several countries, in the order of availability of the basic data.
Series C - Trade by commodities, Market summaries (half-yearly) provides detailed information on the trade of O.E.C.D. countries by main commodities and partner countries. The series appears in three volumes, respectively covering trade by major commodity categories (values only) and by S.I.T.C. groups, sub-groups and items (quantities and values, one volume for exports and one for imports).
Data are arranged in synoptic tables, bringing together the countries comprising the market for a given commodity, as outlets and/or sources of supply, both within the O.E.C.D. area and in trade between O.E.C.D. countries and the rest of the world.

STATISTICAL YEARBOOKS

Historical Statistics (every two years) bring together, in two volumes, quarterly and monthly data over the last decade for all series shown in *Main Economic Indicators* and its *Industrial Production* supplement, respectively.
In addition, both volumes show annual data over a longer time-span, and a selection of calculated rates of change. In between two issues they are kept up to date by supplements inserted into current issues of *Main Economic Indicators.*
National Accounts of O.E.C.D. countries (annual) shows for each O.E.C.D. country and for major groups of Member countries the main national accounting aggregates, in a standardized form, over the last decade (occasionally, over a longer time-span).
In addition, special tables contain various analytical measurements, such as growth triangles, price and volumes indices, and ratios of selected aggregates to totals.
Labour force statistics (annual) gives an overall view, on the basis of standardized data, of the manpower and employment situation over the last decade in the O.E.C.D. countries. Data are shown, in particular, for total population, components of population changes, age structures, total and civilian manpower, unemployment, and employment (both in total and with a breakdown by activity and professional status and—in the case of wage and salary earners— by industry).

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